

26PSCV00558 26PSCV00558

County: los-angeles

Division: Civil Law and Motion

Department: 6

Hearing date: 2026-07-15

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Case Number: 26PSCV00558 Hearing Date: July 15, 2026 Dept: 6

CASE NAME: Siyu Wang, aka Selena Wang v. Pengqiang Wang, et al.

1. Demurrer of Defendant Jiali Wei, Individually, to Complaint; and
2. Motion to Strike Portions of Plaintiff's Complaint by Defendant Jiali Wei, Individually

TENTATIVE RULING

The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Second and Ninth Causes of Action with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Sixth Cause of Action with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Fifteenth Cause of Action without leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

The Court OVERRULES the Demurrer of Defendant Jiali Wei, Individually, to the Twelfth and Thirteenth Causes of Action.

The Court GRANTS the Motion to Strike of the Defendant Jiali Wei, Individually. The Court hereby STRIKES the following portions of the Complaint as to Defendant Jiali Wei, Individually, with 20 days' leave to amend:

1. Paragraphs 59, 110, 117, 147, and 159; and
2. Paragraphs 3, 5, and 8 of the Prayer for Relief.

The Court STRIKES the Complaint's statement under Code of Civil Procedure section 425.115 as to Defendant Jiali Wei, Individually, located on page 26, lines 21 through 23, without leave to amend.

Defendant Jiali Wei, Individually, is ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a fraud case. On February 17, 2026, plaintiff Siyu Wang, aka Selena Wang (Plaintiff) filed this action against defendants Pengqiang Wang (Pengqiang),[1] Jiali Wei, an individual (Wei), Jiali Wei, Trustee of the CW76 Trust, Dated September 22, 2021 (Trustee), Huimin Wu (Wu), Skyhealth Medical Group USA Inc. (Skyhealth) (collectively, Defendants), and Does 1 through 10, alleging causes of action for conversion, civil theft (Penal Code § 496), intentional misrepresentation (fraud), concealment (fraud), breach of fiduciary duty, accounting, money, money had and received, restitution based on quasi-contract, aiding and abetting, civil conspiracy, constructive fraud, avoidance of transfers under California Uniform Voidable Transaction Act, avoidance of transfers under California common law, breach of contract, and declaratory relief.

On April 20, 2026, Wei demurred to and moved to strike portions of Plaintiff's Complaint. On June 24, 2026, Plaintiff opposed both motions. On June 29, 2026, Wei replied to both Oppositions.

LEGAL STANDARD – Demurrer

A demurrer is a pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (Code Civ. Proc., § 422.10; see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994 (*Donabedian*).) It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (*Id.* at pp. 993-994.)

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian*, supra, 116 Cal.App.4th at p. 994.) No other extrinsic evidence can be considered. (*Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881 [error for court to consider facts asserted in memorandum supporting demurrer]; see also *Afuso v. United States Fid. & Guar. Co.* (1985) 169 Cal.App.3d 859, 862, disapproved on other grounds in *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287 [error to consider contents of release not part of court record].)

A demurrer can be utilized where the “face of the complaint” itself is incomplete or discloses some defense that would bar recovery. (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971-972.) The “face of the complaint” includes material contained in attached exhibits that are incorporated by reference into the complaint, or in a superseded complaint in the same action. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94; see also *Barnett v. Fireman's Fund Ins. Co.* (2001) 90 Cal.App.4th 500, 505 “[W]e rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits”].)

A demurrer can only be sustained when it disposes of an entire pleading, cause of action, or affirmative defense. (See Cal. Rules of Court, rule 3.1320, subd. (a); *Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119; *Kong v. City of Hawaiian Gardens Redev. Agency* (2003) 108 Cal.App.4th 1028, 1046-1047.)

PRELIMINARY ISSUES – Demurrer

The Court notes Plaintiff's Opposition contains inaccurate case quotations. For example, Plaintiff's opposition purports to quote from *Navarrete v. Meyer* (2015) 237 Cal.App.4th 1276 as, “[t]he conspirator's concurrence in the scheme may be inferred from the nature of the acts done, the relationship of the parties, their interests, and the surrounding circumstances.” (Opp., 8:1-2.) The actual language from that case reads, “[a] conspirator's concurrence in the scheme may be inferred from the nature of the acts done, the relation of the parties, the interests of the alleged conspirators, and other circumstances.” (*Navarrete v. Meyer*, supra, 237 Cal.App.4th at p. 1292, differences highlighted in bold, internal quotation marks omitted.) Plaintiff's opposition also appears to improperly attribute “[t]o plead aiding and abetting by a defendant, the plaintiff must allege that the defendant had actual knowledge of the ‘specific primary wrong’ being committed, and gave substantial assistance to the wrongful conduct” to *Neilson v. Union Bank of California, N.A.* (2003) 290 F.Supp.2d 1101 and *Nasrawi v. Buck Consultants LLC* (2014) 231 Cal.App.4th 328, but no such language is found in either case. (Opp., 6:21-24.) There are other misquotations throughout Plaintiff's Opposition that the Court declines to address here. The Court will discuss these matters with Plaintiff's counsel at the hearing on the Demurrer.

DISCUSSION – Demurrer

Meet and Confer

The Court finds Wei's efforts to meet and confer before bringing this Demurrer sufficient. (Wu Decl., ¶ 6; Code Civ. Proc., § 430.41, subd. (a).)

Second Cause of Action – Civil Theft (Penal Code § 496)

"(a) Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170." (Penal Code, § 496, subd. (a).)

"Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees." (Penal Code, § 496, subd. (c).)

Wei demurs to the Second Cause of Action for civil theft (Penal Code § 496) on the grounds that it fails to state facts sufficient to constitute a cause of action. Wei contends the Complaint identifies no specific property Wei received, no specific transaction, no date, no account, no amount, and no facts establishing that Wei had actual knowledge the funds were stolen, embezzled, or otherwise wrongfully obtained.

In opposition, Plaintiff contends the civil theft claim is adequately pleaded because Wei is alleged to have concealed, withheld, and aided the concealment of Plaintiff-derived funds. Plaintiff contends the Complaint alleges Pengqiang wrongfully obtained and retained Plaintiff's funds totaling \$1,250,000 through theft and fraud. Plaintiff contends the Complaint alleges Wei knowingly assisted Pengqiang in concealing assets derived from Plaintiff's funds by holding, receiving, or transferring property and funds for Pengqiang's benefit and by participating in transactions designed to place assets beyond Plaintiff's reach. Plaintiff contends this cause of action alleges that Wei knowingly received, concealed, transferred, and withheld Plaintiff's funds, and aided and abetted the concealment and retention of stolen property knowing Pengqiang wrongfully obtained them. Plaintiff contends that Plaintiff need not plead the exact account, transaction date, ledger entry, internal transfer record, or bank account number before discovery.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for civil theft under Penal Code section 496. The Complaint alleges in a conclusory fashion that Wei "knowingly assisted" Pengqiang "in concealing assets", which is insufficient. (Compl., ¶ 33; Wexler v. California FAIR Plan Assn. (2021) 63 Cal.App.5th 55, 70 (Wexler) [conclusory allegations disregarded on demurrer].) The Complaint fails to allege facts specifying how Wei knew the funds were stolen. Also, merely being Pengqiang's wife is insufficient. (See Compl., ¶¶ 32-34, 38.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Second Cause of Action with leave to amend.

Sixth Cause of Action – Accounting

To state a cause of action for an accounting, the plaintiff must allege facts demonstrating, "[a] cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. [Citations.]" (Teselle v. McLoughlin

(2009) 173 Cal.App.4th 156, 179 (Teselle).)

Wei demurs to the Sixth Cause of Action for accounting on the grounds that the Complaint fails to allege facts sufficient to state a cause of action. Wei contends the Complaint does not allege any fiduciary relationship between Plaintiff and Wei, or that Wei was involved in the handling, management, or control of Plaintiff's funds.

In opposition, Plaintiff contends the Complaint adequately alleges Wei held, received, transferred, or controlled Plaintiff-derived assets, and contends that the disposition of those assets cannot be determined without an accounting. Wei contends a fiduciary relationship is not required for an accounting. Plaintiff contends the Complaint alleges that Wei knowingly assisted Pengqiang in concealing assets derived from Plaintiff's funds by holding, receiving, or transferring property and funds for Pengqiang's benefit and by participating in transactions designed to place assets beyond Plaintiff's reach. Plaintiff contends the Complaint alleges that the Defendants acted in concert to conceal assets derived from Plaintiff's funds.

Plaintiff further contends the Complaint alleges a separate basis for accounting because the amount, location, and disposition of Plaintiff's funds are not ascertainable by a simple calculation. Plaintiff argues that Plaintiff seeks to determine what happened to those funds after Pengqiang received them. Plaintiff contends that Plaintiff is not required to trace every dollar at the pleading stage.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for accounting. While Plaintiff is correct that an accounting does not require a fiduciary relationship, the Complaint still fails to allege any facts demonstrating a relationship between Plaintiff and Wei, let alone one that would support an accounting claim. (Compl., ¶¶ 32-34, 38; Teselle, supra, 173 Cal.App.4th at p. 179.)

Moreover, "[a]n action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation. [Citation.]" (Teselle, supra, 173 Cal.App.4th at p. 179.) The Complaint alleges specific sums of money at issue, i.e., approximately \$550,000 and \$700,000, for a total of \$1,250,000. (Compl., ¶¶ 16, 20, 22, Prayer for Relief, ¶ 1.) Given the specificity of the amounts alleged, it is unclear to the Court whether Plaintiff can amend the Complaint and allege facts without running afoul of the sham pleading doctrine. (See Owens v. Kings Supermarket (1988) 198 Cal.App.3d 379, 383-384.)

Additionally, to the extent Plaintiff seeks to determine what was done with Plaintiff's funds, Plaintiff also alleges other fraud claims and a claim for restitution with a request for disgorgement of all ill-gotten gains, among other things. (See generally, Compl.) These causes of action and corresponding remedy should enable Plaintiff to determine what was allegedly done with Plaintiff's funds.

Accordingly, the Court SUSTAINS the Demurrer to the Sixth Cause of Action with leave to amend.

Ninth Cause of Action – Aiding and Abetting

To state a cause of action for aiding and abetting a tort, the plaintiff must alleges facts demonstrating that the defendant "(a) knows the other's conduct constitutes a breach of duty and gives substantial assistance or encouragement to the other to so act or (b) gives substantial assistance to the other in accomplishing a tortious result and the person's own conduct, separately considered, constitutes a breach of duty to the third person." [Citation.]" (Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1144.)

Wei demurs to the Ninth Cause of Action for aiding and abetting on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Wei contends the Complaint fails to allege facts showing that Wei had actual knowledge of Pengqiang's wrongful acts. Wei contends the Complaint does not allege what Wei did to substantially assist Pengqiang, such as what assets Wei controlled, what transactions she facilitated, when she learned of Pengqiang's alleged

misconduct, or how her conduct harmed Plaintiff. Wei contends a familial relationship and alleged proximity to assets by themselves are insufficient. Wei also points to paragraph 108 in the Complaint as showing that Plaintiff purportedly acknowledges this deficiency.

In opposition, Plaintiff contends the aiding and abetting claim pleads actual knowledge of specific primary wrongs and Wei's substantial assistance. Plaintiff contends the Complaint alleges Pengqiang's misconduct, Wei's actual knowledge from the close relationship between Wei and Pengqiang, Wei's receipt or control over assets traceable to Plaintiff's funds, Wei's involvement in entities or structures used to hold or manage those assets, and the absence of any legitimate explanation for Wei's participation in handling or retaining those assets. Plaintiff contends the Complaint alleges that Wei and other Defendants facilitated, received, held, transferred, concealed, or shielded assets derived from Plaintiff's funds through trusts, entities, and other mechanisms designed to place assets beyond Plaintiff's reach, and that Wei's liability is not based only on marriage. Plaintiff contends the Complaint separately alleges Wei's active participation in holding, receiving, or transferring property and funds for Pengqiang's benefit and in transactions designed to place assets beyond Plaintiff's reach. Plaintiff further contends that paragraph 108 is not an admission that Plaintiff lacks facts, but properly alleges the precise details of Defendants' internal transactions within Defendants' knowledge and control.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for aiding and abetting. As noted above, the Complaint alleges in a conclusory fashion that Wei "knowingly assisted" Pengqiang "in concealing assets", which is insufficient. (Compl., ¶ 33; Wexler, *supra*, 63 Cal.App.5th at p. 70.) The Complaint fails to allege facts specifying how Wei knew the funds were stolen. Also, merely being Pengqiang's wife is insufficient. (See Compl., ¶¶ 32-34, 38.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Ninth Cause of Action with leave to amend.

Tenth Cause of Action – Civil Conspiracy

To invoke civil conspiracy liability against multiple defendants, the plaintiff must allege facts demonstrating, "(1) formation and operation of the conspiracy and (2) damage resulting to plaintiff (3) from a wrongful act done in furtherance of the common design." [Citation.] (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 223 Cal.App.4th 1105, 1136 (Prakashpalan).)

Wei demurs to the Tenth Cause of Action for civil conspiracy on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Wei contends the Complaint does not allege when Wei entered the agreement, what the terms of the agreement were, what overt acts Wei personally committed in furtherance of the alleged scheme, or any facts from which the existence of an actual agreement can be inferred apart from Wei's marriage with Pengqiang. Wei reiterates the contention that a familial relationship is insufficient.

In opposition, Plaintiff contends that the civil conspiracy claim is supported by a pleaded insider relationship and a common transfer-concealment scheme. Plaintiff contends the Complaint pleads more than a marital relationship and alleges that Wei is an insider who knowingly and actively participated in a scheme to conceal plaintiff's funds by holding, receiving, or transferring property and funds for Pengqiang's benefit and by participating in transactions designed to place assets beyond Plaintiff's reach. Plaintiff contends the Complaint alleges Wei knowingly received, concealed, transferred, and withheld Plaintiff's funds, and aided and abetted the concealment and retention of stolen property knowing Pengqiang wrongfully obtained those funds. Plaintiff contends the Complaint alleges Wei acted under a common plan and shared objective to conceal assets, prevent Plaintiff from discovering the true location and disposition of Plaintiff's funds, and delay or defeat Plaintiff's recovery. Plaintiff further contends she does not need to plead the precise date she joined the conspiracy and that no overt act is required to establish the conspiracy.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for civil conspiracy against Wei. As noted above, the Complaint's allegations against Wei are conclusory and devoid of specific facts showing either Wei's knowledge of the facts comprising the underlying wrongful act or facts showing what Wei actually did in this matter. Also, Plaintiff's contention that Wei is an "insider" is not supported by any factual allegations in the Complaint. The only allegation showing that Wei is an "insider" is her marriage to Pengqiang, which is insufficient. (See Compl., ¶¶ 32-34, 38.)

Moreover, although not mentioned in Wei's Demurrer, the Court notes that a civil conspiracy is not a separate cause of action. (*City of Indus. v. City of Fillmore* (2011) 198 Cal.App.4th 191, 211 ["Civil conspiracy is not an independent tort"].) As such, this cannot be remedied by amendment.

Based on the foregoing, the Court SUSTAINS the Demurrer to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

Twelfth Cause of Action – Avoidance of Transfers Under California Uniform Voidable Transaction [sic] Act

Under the Uniform Voidable Transaction Act, "[a] transfer made or obligation incurred by a debtor is voidable as to a creditor, whether the creditor's claim arose before or after the transfer was made or the obligation was incurred, if the debtor made the transfer or incurred the obligation as follows:

(1) With actual intent to hinder, delay, or defraud any creditor of the debtor.

(2) Without receiving a reasonably equivalent value in exchange for the transfer or obligation, and the debtor either:

(A) Was engaged or was about to engage in a business or a transaction for which the remaining assets of the debtor were unreasonably small in relation to the business or transaction.

(B) Intended to incur, or believed or reasonably should have believed that the debtor would incur, debts beyond the debtor's ability to pay as they became due."

(Civ. Code, § 3439.04, subd. (a).)

"A transfer made or obligation incurred by a debtor is voidable as to a creditor whose claim arose before the transfer was made or the obligation was incurred if the debtor made the transfer or incurred the obligation without receiving a reasonably equivalent value in exchange for the transfer or obligation and the debtor was insolvent at that time or the debtor became insolvent as a result of the transfer or obligation."

(Civ. Code, § 3439.05, subd. (a).)

Wei demurs to the Twelfth Cause of Action for avoidance of transfers under the California Uniform Voidable Transactions Act (UVTA) on the grounds that the Complaint fails to allege facts to state a cause of action. Wei contends the Complaint does not identify any specific transfer to Wei by date, amount, asset description, or asset details. Wei contends the Complaint does not allege what was transferred to Wei, when it was transferred, in what form, from what account, or for what purpose.

In opposition, Plaintiff contends this claim sufficiently pleads transfers to or for the benefit of Wei. Plaintiff contends Wei cites no law that details regarding the asset must be pleaded. Plaintiff contends the UVTA applies to all transfers and that the term "transfer" is broadly defined. Plaintiff contends the Complaint identifies the transfers and concealment at issue, namely \$1,250,000 transferred to Pengqiang for custodial safekeeping and investment purposes. Plaintiff contends those funds were then fraudulently transferred to or for the benefit of Wei individually as part of a scheme to defraud Plaintiff. Plaintiff contends the Complaint alleges transfers to Wei, that such transfers are voidable, and that Defendants, including Wei, retained possession or control of the transferred property post-transfer, thereby identifying Wei individually as a transferee or beneficiary of Plaintiff's funds. Plaintiff contends the Complaint also alleges Wei knowingly assisted Pengqiang in concealing assets derived from Plaintiff's funds by holding, receiving, or transferring property and funds for Pengqiang's benefit, and that

such allegations are reinforced by the overarching claim that the Defendants acted under a common plan and shared objective to conceal assets from Plaintiff.

The Court finds the Complaint alleges sufficient facts to state a cause of action under the UVTA against Wei. The Complaint alleges that Pengqiang received money from Plaintiff, i.e., \$1,250,000, for safekeeping and investment purposes, that Pengqiang did not return the funds after Plaintiff's demands, and that Pengqiang transferred some of the funds to Wei. (Compl., ¶¶ 11-39, 137.) These allegations, taken as true at the pleading stage, are sufficient to state a cause of action under the UVTA.

Based on the foregoing, the Court **OVERRULES** the Demurrer to the Twelfth Cause of Action.

Thirteenth Cause of Action – Avoidance of Transfers Under California Common Law Fraudulent Conveyance

To state a cause of action for a fraudulent conveyance, the plaintiff must allege facts demonstrating a conveyance by a debtor to a third person for the purpose of preventing the creditor from reaching that interest to satisfy the creditor's claim. (Kirkeby v. Superior Ct. (2004) 33 Cal.4th 642, 648.) Common law fraudulent conveyance requires injury to the creditor. (Berger v. Varum (2019) 35 Cal.App.5th 1013, 1020.)

Wei demurs to the Thirteenth Cause of Action for avoidance of transfers under California common law fraudulent conveyance [sic] on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Wei contends the Complaint fails to identify any specific transfer to Wei.

In opposition, Plaintiff contends this cause of action is sufficiently pleaded under the same transfer-concealment allegations. Plaintiff contends the common law injury requirement is satisfied here because the Complaint alleges Defendants deprived Plaintiff of the use and possession of her funds, i.e., \$1,250,000, and thereby caused financial harm.

The Court finds the Complaint alleges sufficient facts to state a cause of action for fraudulent conveyance. As noted above, the Complaint alleges that Pengqiang received money from Plaintiff, i.e., \$1,250,000, for safekeeping and investment purposes, that Pengqiang did not return the funds after Plaintiff's demands, and that Pengqiang transferred some of the funds to Wei. The Complaint also alleges Plaintiff suffered financial harm by being deprived of her funds. (Compl., ¶¶ 11-39, 137, 155-156.)

Therefore, the Court **OVERRULES** the Demurrer to the Thirteenth Cause of Action.

Fifteenth Cause of Action – Declaratory Relief

To state a cause of action for declaratory relief, the plaintiff must allege facts demonstrating “(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party.” [Citation.]” (Lee v. Silveira (2016) 6 Cal.App.5th 527, 546.) “In the context of a demurrer, the courts evaluate whether the factual allegations of a complaint for declaratory relief reveal an actual, ripe controversy exists between the parties.” [Citation.]” (JPMorgan Chase Bank, N.A. v. Ward (2019) 33 Cal.App.5th 678, 688.) Past conduct is not proper subject matter for a declaratory relief claim. (Osseous Techs. of Am., Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366.) “Where a trial court has concluded the plaintiff did not state sufficient facts to support a statutory claim and therefore sustained a demurrer as to that claim, a demurrer is also properly sustained as to a claim for declaratory relief which is ‘wholly derivative’ of the statutory claim. [Citation.]” (Ball v. FleetBoston Fin. Corp. (2008) 164 Cal.App.4th 794, 800.)

Wei demurs to the Fifteenth Cause of Action for declaratory relief on the grounds that the Complaint fails to allege facts sufficient to state a cause of action. Wei contends this cause of action is wholly derivative of the inadequately pleaded substantive claims by alleging a controversy over Plaintiff's personal property, funds, money, and accounts, but does not

identify any specific property owned, held, or controlled by Wei that is the subject of an actual present controversy.

In opposition, Plaintiff contends declaratory relief is proper because the Complaint alleges an actual controversy over funds, accounts, and traceable property, including Wei. Plaintiff contends to allege that an actual and present controversy exists among Plaintiff and Defendants, including Wei, over Plaintiff's personal property, funds, money, and accounts. Plaintiff contends to allege that Defendants wrongfully misappropriated those things, wrongfully changed ownership of such property and accounts to themselves, and threatens to continue doing so. Plaintiff contends to allege that Wei knowingly assisted Pengqiang by holding, receiving, or transferring property and funds for Pengqiang's benefit and participating in transactions designed to place assets beyond Plaintiff's reach and that Plaintiff alleges transfers to Wei. Plaintiff contends to seek a binding declaration of the parties' legal rights and duties concerning the funds that they should be returned to Plaintiff, ownership should be declared in Plaintiff's name, and Defendants should be excluded from ownership of the subject property.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for declaratory relief. The Court agrees with Wei that Plaintiff's declaratory relief claim is derivative of the preceding claims in the Complaint. (Ball v. FleetBoston Fin. Corp., supra, 164 Cal.App.4th at p. 800.) Plaintiff is merely asking to have her money returned to her. (See Compl., ¶¶ 168-172.) The Complaint alleges only facts concerning past conduct, i.e., the wrongful taking of Plaintiff's money, which is not a proper subject for declaratory relief. (Osseous Techs. of Am., Inc. v. DiscoveryOrtho Partners LLC, supra, 191 Cal.App.4th at p. 366.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Fifteenth Cause of Action without leave to amend.

LEGAL STANDARD – Motion to Strike

"Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof, but this time limitation shall not apply to motions specified in subdivision (e)." (Code Civ. Proc., § 435, subd. (b)(2).) "The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Id., § 436.)

PRELIMINARY ISSUES – Motion to Strike

Wei's motion to strike misquotes from Smith v. Superior Court (1992) 10 Cal.App.4th 1033, 1041-1042 by adding "conclusory," to the phrase "devoid of any factual assertions". (Motion, 4:28-5:2.) The Court admonishes Wei's counsel to be more cautious going forward when quoting from cases.

Plaintiff's Opposition incorrectly attributes the following quote to Miller v. National American Life Ins. Co. (1976) 54 Cal.App.3d 331, 336, and Horn v. Guaranty Chevrolet Motors (1969) 270 Cal.App.2d 477: "A fraud cause seeking punitive damages need not include an allegation that the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient." (Opp., 3:20-22.) The quoted language is found in the third case Plaintiff cited here, namely Stevens v. Superior Ct. (1986) 180 Cal.App.3d 605, 610-611.

Plaintiff's Opposition also incorrectly attributes the following quote to Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1144-1145: "may be liable for aiding and abetting a tort where the defendant knowingly gives 'substantial assistance' to a tortfeasor". (Opp., 4:14-16.) That language is not found in that case. The Court will discuss these matters further with Plaintiff's counsel at the hearing on this Motion to Strike.

DISCUSSION – Motion to Strike

Meet and Confer

The Court finds Wei's efforts to meet and confer before moving to strike portions of Plaintiff's Complaint sufficient. (Wu Decl., ¶ 6; Code Civ. Proc., § 435.5, subd. (a).)

Punitive Damages and Code of Civil Procedure section 425.115 Statement

A claim for punitive damages is subject to a motion to strike when the allegations fail to rise to the level of malice, oppression, or fraud necessary under Civil Code section 3294. (*Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 64.)

Wei moves to strike Plaintiff's punitive damages allegations and request on the grounds that the Complaint fails to allege specific facts of malice, oppression or fraud by Wei, individually. Wei contends the Complaint does not allege any specific act by Wei demonstrating intent to injure Plaintiff, despicable conduct carried out with willful and conscious disregard of Plaintiff's rights, or cruel and unjust hardship inflicted in conscious disregard of Plaintiff's rights. Wei also contends the Complaint's statement under Code of Civil Procedure section 425.115 should be stricken.

In opposition, Plaintiff contends the Complaint pleads fraud and that Wei knowingly aided and abetted fraud. Plaintiff contends the Complaint alleges that Wang fraudulently induced Plaintiff to transfer approximately \$1,250,000 for safekeeping and investment purposes while never intending to perform or return the funds as promised. Plaintiff contends to allege Pengqiang engaged in various wrongful acts to prevent Plaintiff's discovery of the true status and location of her funds. Plaintiff further contends the Complaint alleges Wei knowingly assisted Pengqiang in concealing assets derived from Plaintiff's funds by holding, receiving, or transferring property and funds for Pengqiang's benefit and by participating in transactions designed to place assets beyond Plaintiff's reach. Plaintiff also contends the Complaint alleges the Defendants acted under a common plan to conceal Plaintiff's assets. Plaintiff also contends the Code of Civil Procedure section 425.115 statement should not be stricken because that section authorizes a plaintiff seeking punitive damages to serve a statement giving notice of the amount of punitive damages sought before default may be taken.

The Court finds the Complaint fails to allege sufficient facts to support a claim for punitive damages against Wei. As noted above, the Court sustained Wei's Demurrer to most of Plaintiff's claims against Wei. Although the Court overruled Wei's Demurrer to the Twelfth and Thirteenth Causes of Action, the Court does not find that the Complaint alleges sufficient facts demonstrating that Wei acted with malice, fraud, or oppression toward Plaintiff. (See Civ. Code, § 3294.) Rather, the Complaint simply alleged sufficient facts demonstrating that Pengqiang transferred some of Plaintiff's funds to Wei for purposes of defrauding Plaintiff. The Complaint's allegations against Wei are otherwise conclusory and devoid of facts showing Wei knew the funds were stolen or otherwise acted with intent to harm Plaintiff or in disregard of Plaintiff's rights. (See Compl., ¶¶ 8-39.)

Moreover, although not mentioned in Wei's moving papers, complaints may not allege specific monetary amounts for punitive damage claims. (Civ. Code, § 3295, subd. (e).) The Complaint violates this prohibition. (Compl., p. 26, ll. 21-23.) Code of Civil Procedure section 425.115 applies to a statement of damages, not a complaint. (See Code Civ. Proc., §§ 425.11, subd. (e), 425.115.)

Accordingly, the Court GRANTS the motion to strike Plaintiff's punitive damages allegations located at paragraphs 59, 110, 117, 147, 159, and Prayer for Relief, paragraph 5, as to Wei with leave to amend. The Court GRANTS the motion to strike the Complaint's statement under Code of Civil Procedure section 425.115 as to Wei without leave to amend.

Treble Damages and Attorney Fees Under Penal Code § 496, subdivision (c)

"Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees." (Penal Code, § 496, subd.

(c.)

Wei contends the requests for treble damages and punitive damages under Penal Code section 496, subdivision (c), should also be stricken because the Complaint fails to state sufficient facts to state a cause of action for civil theft against Wei. Wei contends the Complaint does not identify any specific property that Wei received, concealed, or withheld, nor does it allege facts supporting Wei's actual knowledge that any property was stolen.

In opposition, Plaintiff contends the requests for treble damages and attorney fees under Penal Code section 496, subdivision (c), should not be stricken because they are statutory remedies for the adequately pleaded civil theft claim.

Given that the Court sustained Wei's Demurrer to Plaintiff's Penal Code section 496, subdivision (c) claim, there is no other basis for Plaintiff to request treble damages and attorney fees. (See Penal Code, § 496, subd. (c); see also Code Civ. Proc., § 1033.5, subd. (a)(10) [attorney fees recoverable only if authorized by contract, law, or statute].)

Based on the foregoing, the Court GRANTS the Motion to Strike as to Plaintiff's request for treble damages and attorney fees located at paragraphs 3 and 8 of the Prayer for Relief as to Wei with leave to amend.

CONCLUSION

The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Second and Ninth Causes of Action with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Sixth Cause of Action with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Fifteenth Cause of Action without leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, Individually, to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

The Court OVERRULES the Demurrer of Defendant Jiali Wei, Individually, to the Twelfth and Thirteenth Causes of Action.

The Court GRANTS the Motion to Strike of the Defendant Jiali Wei, Individually. The Court hereby STRIKES the following portions of the Complaint as to Defendant Jiali Wei, Individually, with 20 days' leave to amend:

1. Paragraphs 59, 110, 117, 147, and 159; and
2. Paragraphs 3, 5, and 8 of the Prayer for Relief.

The Court STRIKES the Complaint's statement under Code of Civil Procedure section 425.115 as to Defendant Jiali Wei, Individually, located on page 26, lines 21 through 23, without leave to amend.

Defendant Jiali Wei, Individually, is ordered to give notice of the Court's ruling within five calendar days of this order.

[1] The Court refers to Pengqiang by first name only to avoid confusion. No disrespect is intended.

1. Demurrer of Defendant Jiali Wei, as Trustee of the CW76 Trust, to Complaint; and
2. Motion to Strike Portions of Plaintiff's Complaint by Defendant Jiali Wei, as Trustee of the CW76 Trust

TENTATIVE RULING

The Court SUSTAINS the Demurrer of Defendant Jiali Wei, as Trustee of the CW76 Trust, to the Second and Ninth Causes of Action with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, as Trustee of the CW76 Trust, to the Sixth Cause of Action with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, as Trustee of the CW76 Trust, to the Fifteenth Cause of Action without leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, as Trustee of the CW76 Trust, to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

The Court OVERRULES the Demurrer of Defendant Jiali Wei, as Trustee of the CW76 Trust, to the Twelfth and Thirteenth Causes of Action.

The Court GRANTS the Motion to Strike of the Defendant Jiali Wei, as Trustee of the CW76 Trust. The Court hereby STRIKES the following portions of the Complaint as to Defendant Jiali Wei, as Trustee of the CW76 Trust, with 20 days' leave to amend:

1. Paragraphs 59, 110, 117, 147, and 159; and
2. Paragraphs 3, 5, and 8 of the Prayer for Relief.

The Court STRIKES the Complaint's statement under Code of Civil Procedure section 425.115 as to Defendant Jiali Wei, as Trustee of the CW76 Trust, located on page 26, lines 21 through 23, without leave to amend.

Defendant Jiali Wei, as Trustee of the CW76 Trust, is ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a fraud case. On February 17, 2026, plaintiff Siyu Wang, aka Selena Wang (Plaintiff) filed this action against defendants Pengqiang Wang (Pengqiang), [1] Jiali Wei, an individual (Wei), Jiali Wei, Trustee of the CW76 Trust, Dated September 22, 2021 (Trustee), Huimin Wu (Wu), Skyhealth Medical Group USA Inc. (Skyhealth) (collectively, Defendants), and Does 1 through 10, alleging causes of action for conversion, civil theft (Penal Code § 496), intentional misrepresentation (fraud), concealment (fraud), breach of fiduciary duty, accounting, money, money had and received, restitution based on quasi-contract, aiding and abetting, civil conspiracy, constructive fraud, avoidance of transfers under California Uniform Voidable Transaction Act, avoidance of transfers under California common law, breach of contract, and declaratory relief.

On April 22, 2026, Trustee demurred to and moved to strike portions of the Complaint. On June 25, 2026, Plaintiff opposed both motions. On June 30, 2026, Trustee replied to both Oppositions.

LEGAL STANDARD – Demurrer

A demurrer is a pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (Code Civ. Proc., § 422.10; see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994 (*Donabedian*)). It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (*Id.* at pp. 993-994.)

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian*, supra, 116 Cal.App.4th at p. 994.) No other extrinsic evidence can be considered. (*Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881 [error for court to consider facts asserted in memorandum supporting demurrer]; see also *Afuso v. United States Fid. & Guar. Co.* (1985) 169 Cal.App.3d 859, 862, disapproved on other grounds in *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287 [error to consider contents of release not part of court record].)

A demurrer can be utilized where the "face of the complaint" itself is incomplete or discloses some defense that would bar recovery. (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971-972.) The "face of the complaint" includes material contained in attached exhibits that are incorporated by reference into the complaint, or in a superseded complaint in the same action. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94; see also *Barnett v. Fireman's Fund Ins. Co.* (2001) 90 Cal.App.4th 500, 505 ["[W]e rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits"].)

A demurrer can only be sustained when it disposes of an entire pleading, cause of action, or affirmative defense. (See Cal. Rules of Court, rule 3.1320, subd. (a); *Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119; *Kong v. City of Hawaiian Gardens Redev. Agency* (2003) 108 Cal.App.4th 1028, 1046-1047.)

PRELIMINARY ISSUES – Demurrer

Plaintiff's Opposition to the Demurrer misquotes *Zanelli v. McGrath* (2008) 166 Cal.App.4th 615, 633 (*Zanelli*) and omits key words. More specifically, Plaintiff's Opposition reads: "Property transferred to, or held in, a trust is deemed the property of the settlor and is reachable by the creditors of the settlor." (Opp., 13:16-18.) The language from *Zanelli* actually reads: "Property transferred to, or held in, a revocable inter vivos trust is nonetheless deemed the property of the settlor and is reachable by the creditors of the settlor." (*Zanelli*, supra, 166 Cal.App.4th at p. 633, bold added.) The key words omitted from Plaintiff's Opposition changes the meaning of the authority cited. Plaintiff's opposition also purports to quote from *Navarrete v. Meyer* (2015) 237 Cal.App.4th 1276 as, "[t]he conspirator's concurrence in the scheme may be inferred from the nature of the acts done, the relationship of the parties, their interests, and the surrounding circumstances." (Opp., 10:6-8.) The actual language from that case reads, "[a] conspirator's concurrence in the scheme may be inferred from the nature of the acts done, the relation of the parties, the interests of the alleged conspirators, and other circumstances." (*Navarrete v. Meyer*, supra, 237 Cal.App.4th at p. 1292, differences highlighted in bold, internal quotation marks omitted.) Plaintiff's opposition further appears to improperly attribute "[t]o plead aiding and abetting by a defendant, the plaintiff must allege that the defendant had actual knowledge of the 'specific primary wrong' being committed, and gave substantial assistance to the wrongful conduct" to *Neilson v. Union Bank of California, N.A.* (2003) 290 F.Supp.2d 1101 and *Nasrawi v. Buck Consultants LLC* (2014) 231 Cal.App.4th 328, but no such language is found in either case. (Opp., 8:22-24.) There are other similar problems throughout Plaintiff's Opposition that the Court declines to address here. The Court will discuss these matters with Plaintiff's counsel at the hearing on the Demurrer.

DISCUSSION – Demurrer

Meet and Confer

The Court finds Trustee's efforts to meet and confer bringing this Demurrer sufficient. (Wu Decl., ¶ 6; Code Civ. Proc., § 430.41, subd. (a).)

Entire Complaint

Trustee demurs to the entire Complaint on the grounds that it is uncertain as to the Trustee because it fails to distinguish between Wei's individual and fiduciary capacities. Trustee contends the Complaint takes deliberate steps to distinguish between Wei's individual and fiduciary capacities, but fails to provide differentiated factual allegations. Trustee contends a

trustee sued in her representative capacity is liable only for breaches of fiduciary duty or other wrongs committed in administering the trust, and any resulting liability is limited to trust assets. Trustee contends the substantive allegations either group both capacities together, reference “Wei” without specifying capacity, or lump all defendants together. Trustee contends that even where the Complaint invokes Trustee’s capacity by name, the allegations lack the specificity necessary to state a claim. Trustee contends the Complaint does not allege which specific trust asset was used to conceal Plaintiff’s funds, which real properties were transferred into the CW76 trust, when they were transferred, or how they connect to Plaintiff’s monetary transfers to Pengqiang, any trust account into which Plaintiff’s funds were deposited, any specific act the Trustee took in her fiduciary capacity distinct from Wei’s individual acts, or any facts from which Trustee can determine whether a given allegation targets her individually or in her representative capacity.

In opposition, Plaintiff contends the Complaint is not uncertain because it identifies the trustee capacity, alleges trustee-capacity conduct, and properly proceeds against Trustee as the representative party for trust-held property. Plaintiff contends the Complaint expressly identifies Wei in her trustee capacity, alleges the role of the CW76 trust in the asset-concealment scheme, and pleads specific trustee-capacity conduct. Trustee contends that a claim arising from ownership or control of trust property or on a tort committed in the course of administration of the trust may be asserted against the trust by proceeding against the trustee in the trustee’s representative capacity, whether or not the trustee is personally liable on the claim. Plaintiff then contends the Complaint alleges that Pengqiang acted in concert with Wei in her capacity as Trustee to conceal Plaintiff’s assets and that Wei, acting in her capacity as Trustee, transferred one or more real properties into the CW76 trust to obscure ownership of assets. Plaintiff contends the Complaint separately identifies Trustee as a participant in the common plan and shared objective to conceal assets from Plaintiff.

The Court finds the Complaint not subject to demurrer for uncertainty. While the Court does agree with Trustee that the Complaint does not always clearly allege facts differentiating between Wei and Trustee, the Court does not find the Complaint so ambiguous or unintelligible or confusing that Trustee is unable to respond. The majority of the allegations appear to be directed against Wei and do not mention Trustee much. (See Compl., ¶¶ 11-39; see *Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2.) Moreover, demurrers for uncertainty are generally disfavored because ambiguities can be clarified in discovery. (*Chen v. Berenjian* (2019) 33 Cal.App.5th 811, 822.) Any confusion or ambiguity as to which capacity Wei was acting in can be clarified in discovery.

Based on the foregoing, the Court OVERRULES the Demurrer for uncertainty.

Second Cause of Action – Civil Theft (Penal Code § 496)

“(a) Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170.” (Penal Code, § 496, subd. (a).)

“Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney’s fees.” (Penal Code, § 496, subd. (c).)

Trustee demurs to the Second Cause of Action for civil theft under Penal Code section 496 on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Trustee contends the Complaint does not identify what property Trustee received in her fiduciary capacity, what trust account held stolen property, when any such receipt occurred, or how Trustee knew the funds were stolen.

In opposition, Plaintiff contends this claim is adequately pleaded because Trustee is alleged to have concealed, withheld, and aided the concealment of Plaintiff-derived funds. Plaintiff contends the Complaint alleges Pengqiang wrongfully obtained Plaintiff’s funds in the total amount of \$125,000, that Wei acted in her capacity as Trustee to conceal assets from Plaintiff, that Wei in her capacity as Trustee transferred one or more real properties into the Cw76 Trust to obscure ownership, that

Trustee participated in the common plan to conceal assets, and that Trustee knowingly received, concealed, transferred and withheld Plaintiff's funds, thereby aiding and abetting the retention of stolen property. Plaintiff contends the Complaint need not identify the specifics Trustee contends.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for civil theft under Penal Code section 496. The Complaint alleges very little about Trustee, and what it does allege is either vague or conclusory. (See generally, Compl.; see also *Wexler v. California FAIR Plan Assn.* (2021) 63 Cal.App.5th 55, 70 (Wexler) [conclusory allegations disregarded on demurrer].) The Complaint only alleges in a conclusory fashion that Wei in her capacity as Trustee concealed assets or funds from Plaintiff. Moreover, it is unclear how transferring real property into the CW76 Trust would obscure and conceal assets from Plaintiff. It is also worth noting that the Complaint does not allege the real property or properties transferred into the CW76 Trust belonged to Plaintiff in any way. The Complaint further fails to allege facts specifying how Trustee knew the funds or assets were stolen. (See Compl., ¶¶ 32, 34, 38.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Second Cause of Action with leave to amend.

Sixth Cause of Action – Accounting

To state a cause of action for an accounting, the plaintiff must allege facts demonstrating, “[a] cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. [Citations.]” (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179 (*Teselle*)).

Trustee demurs to the Sixth Cause of Action for accounting on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Trustee contends the Complaint does not allege any fiduciary relationship between Plaintiff and the CW76 Trust or its Trustee. Trustee contends Plaintiff is not a beneficiary of the CW76 Trust and that the Complaint does not allege that the trust or Trustee managed any of Plaintiff's funds in a fiduciary capacity.

In opposition, Plaintiff contends the accounting claim is adequately pleaded because Trustee is alleged to have trust records, assets, and information necessary to determine the disposition of Plaintiff-derived property. Plaintiff contends the Complaint alleges a relationship for purposes of an accounting claim by alleging that Wei in her capacity as Trustee transferred one or more real properties into the CW76 Trust to obscure ownership and conceal Plaintiff's funds. Plaintiff contends the Complaint further alleges Trustee participated in concealing assets derived from Plaintiff's funds. Plaintiff then contends the Complaint also alleges that Defendants are obligated to render a full and complete accounting of all funds received or managed on Plaintiff's behalf. Plaintiff contends the Complaint identifies trust records among the documents necessary to account for Plaintiff's funds. Plaintiff contends the Complaint further alleges that the relevant facts are within Defendants' exclusive knowledge and control, and that Plaintiff is not required to identify every trust record at the pleading stage.

The Court finds the Complaint fails to allege facts sufficient to state a cause of action for accounting. The Complaint fails to allege any facts demonstrating a relationship between Plaintiff and the CW76 Trust or Trustee, let alone one that would support an accounting claim. (Compl., ¶¶ 32, 34, 38; *Teselle*, supra, 173 Cal.App.4th at p. 179.)

Moreover, although not specifically mentioned in Trustee's moving papers, “[a]n action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation. [Citation.]” (*Teselle*, supra, 173 Cal.App.4th at p. 179.) The Complaint alleges specific sums of money at issue, i.e., approximately \$550,000 and \$700,000, for a total of \$1,250,000. (Compl., ¶¶ 16, 20, 22, Prayer for Relief, ¶ 1.) Given the specificity of the amounts alleged, it is unclear to the Court whether Plaintiff can amend the Complaint and allege facts without running afoul of the sham pleading doctrine. (See *Owens v. Kings Supermarket* (1988) 198 Cal.App.3d 379, 383-384.)

Additionally, to the extent Plaintiff seeks to determine what was done with Plaintiff's funds, Plaintiff also alleges other fraud claims and a claim for restitution with a request for disgorgement of all ill-gotten gains, among other things. (See generally, Compl.) These causes of action and corresponding remedy should enable Plaintiff to determine what was allegedly done with

Plaintiff's funds.

Accordingly, the Court SUSTAINS the Demurrer to the Sixth Cause of Action with leave to amend.

Ninth Cause of Action – Aiding and Abetting

To state a cause of action for aiding and abetting a tort, the plaintiff must allege facts demonstrating that the defendant “(a) knows the other’s conduct constitutes a breach of duty and gives substantial assistance or encouragement to the other to so act or (b) gives substantial assistance to the other in accomplishing a tortious result and the person’s own conduct, separately considered, constitutes a breach of duty to the third person.” [Citation.]” (Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1144.)

Trustee demurs to the Ninth Cause of Action for aiding and abetting on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Trustee contends the Complaint does not identify any specific act that Trustee took in her fiduciary capacity. Trustee contends the Complaint does not allege what trust assets were deployed to further Pengqiang’s scheme, what trust power was exercised, or what Trustee did as Trustee that constituted substantial assistance. Trustee contends the Complaint acknowledges this pleading deficiency.

In opposition, Plaintiff contends this claim pleads actual knowledge of specific primary wrongs and Trustee’s substantial assistance. Plaintiff contends the Complaint alleges Pengqiang’s wrongful conduct, and that Wei in her capacity as Trustee had actual knowledge of this wrongful conduct based on their close relationship with Pengqiang, their control of assets traceable to Plaintiff’s funds, their involvement in entities or structures used to hold or manage such assets, and the absence of any legitimate explanation for their participation in handling or retaining those assets. Plaintiff then contends the Complaint alleges Defendants knowingly provided substantial assistance to Pengqiang by concealing assets derived from Plaintiff’s funds through trusts, entities, or other mechanisms. Plaintiff contends the Complaint alleges Wei in her capacity as Trustee transferred one or more real properties into the CW76 trust at Pengqiang’s direction and for Pengqiang’s benefit to obscure ownership. Plaintiff finally contends the Complaint does not admit that Plaintiff lacks facts.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for aiding and abetting. As noted above, the Complaint alleges concealment of assets and funds against Trustee in a conclusory and vague manner, which allegations are insufficient. (Compl., ¶¶ 32, 34, 38; Wexler, supra, 63 Cal.App.5th at p. 70.) Also, it is unclear how transferring real property into the CW76 Trust at Pengqiang’s direction is evidence that Trustee knew Pengqiang was breaching a duty to Plaintiff or how it constitutes giving substantial assistance to Pengqiang to breach a duty to Plaintiff. It is still unclear how transferring real property into the CW76 Trust would obscure or conceal Plaintiff’s funds, especially when there are no allegations that the real property allegedly transferred belonged to Plaintiff in any way. The Complaint further fails to allege facts specifying how Trustee knew the funds or assets were stolen. (See Compl., ¶¶ 32, 34, 38.)

Accordingly, the Court SUSTAINS the Demurrer to the Ninth Cause of Action with leave to amend.

Tenth Cause of Action – Civil Conspiracy

To invoke civil conspiracy liability against multiple defendants, the plaintiff must allege facts demonstrating, “(1) formation and operation of the conspiracy and (2) damage resulting to plaintiff (3) from a wrongful act done in furtherance of the common design.” [Citation.]” (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 223 Cal.App.4th 1105, 1136 (Prakashpalan).)

Trustee demurs to the Tenth Cause of Action for civil conspiracy on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Trustee contends the Complaint does not identify when Trustee entered the agreement in her fiduciary capacity, what trust power was exercised in furtherance of the conspiracy, or what overt act Trustee committed using trust assets or authority.

In opposition, Plaintiff contends this claim is supported by a pleaded trustee-capacity role in a common transfer-concealment scheme. Plaintiff contends the Complaint alleges that Wei knowingly and intentionally entered into a common plan to conceal Plaintiff's funds and that it alleges acts in furtherance of that conspiracy by concealing assets derived from Plaintiff's funds through trusts, corporate entities, or other mechanisms. Plaintiff contends the Complaint need not plead when Trustee entered the agreement in her fiduciary capacity, and that the Complaint need not allege an overt act.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for civil conspiracy. As noted above, the Complaint's allegations against Trustee are conclusory and devoid of specific facts showing either Trustee's knowledge of the facts comprising the underlying wrongful act or facts showing what Trustee actually did in this matter that caused Plaintiff's alleged harm.

Moreover, although not mentioned in Trustee's Demurrer, the Court notes that a civil conspiracy is not a separate cause of action. (*City of Indus. v. City of Fillmore* (2011) 198 Cal.App.4th 191, 211 ["Civil conspiracy is not an independent tort"].) As such, this cannot be remedied by amendment.

Based on the foregoing, the Court SUSTAINS the Demurrer to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

Twelfth Cause of Action – Avoidance of Transfers Under California Uniform Voidable Transaction [sic] Act

Under the Uniform Voidable Transaction Act, "[a] transfer made or obligation incurred by a debtor is voidable as to a creditor, whether the creditor's claim arose before or after the transfer was made or the obligation was incurred, if the debtor made the transfer or incurred the obligation as follows:

(1) With actual intent to hinder, delay, or defraud any creditor of the debtor.

(2) Without receiving a reasonably equivalent value in exchange for the transfer or obligation, and the debtor either:

(A) Was engaged or was about to engage in a business or a transaction for which the remaining assets of the debtor were unreasonably small in relation to the business or transaction.

(B) Intended to incur, or believed or reasonably should have believed that the debtor would incur, debts beyond the debtor's ability to pay as they became due."

(Civ. Code, § 3439.04, subd. (a).)

Trustee demurs to the Twelfth Cause of Action for avoidance of transfers under California Uniform Voidable Transaction [sic] Act on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Trustee contends the Complaint does not allege that any transfer was made to the trust itself or to Trustee, and that the Complaint does not identify what real properties were transferred, when they were transferred, their value, or any factual connection between these real property transfers and Plaintiff's cash transfers to Pengqiang. Trustee contends the Complaint does not allege that Pengqiang used Plaintiff's funds to acquire real properties later placed in the trust or that those properties are traceable to Plaintiff's assets.

In opposition, Plaintiff argues that this claim sufficiently pleads voidable transfers involving Trustee and the CW76 Trust. Plaintiff contends Wei cites no law that details regarding the asset must be pleaded. Plaintiff contends the UVTA applies to all

transfers and that the term “transfer” is broadly defined. Plaintiff contends the Complaint pleads that Plaintiff is a creditor with claims arising from Defendants’ misappropriation of Plaintiff’s funds and that the transfers were made with intent to harm Plaintiff. Plaintiff contends the Complaint alleges that Wei in her capacity as Trustee transferred one or more real properties into the CW76 Trust at Pengqiang’s direction and for Pengqiang’s benefit to obscure and conceal ownership of assets. Plaintiff contends the Complaint further alleges that Defendants removed or concealed funds with the intent to make it difficult for Plaintiff to collect payment, and that Plaintiff has been harmed as a result.

The Court finds the Complaint alleges sufficient facts to state a cause of action under the UVTA against Trustee. The Complaint alleges that Pengqiang received money from Plaintiff, i.e., \$1,250,000, for safekeeping and investment purposes, that Pengqiang did not return the funds after Plaintiff’s demands, and that Pengqiang transferred some of the funds to the Defendants, which includes Trustee. (Compl., ¶¶ 11-39, 137-138.) The alleged real property transfers are a red herring for the reasons the Court has noted throughout this ruling, namely that the Complaint does not allege any facts showing that such real property belonged to Plaintiff in any way. (Compl., ¶¶ 11-39.) However, the Complaint does not need to allege facts with the amount of specificity Trustee contends.

Based on the foregoing, the Court OVERRULES the Demurrer to the Twelfth Cause of Action.

Thirteenth Cause of Action – Avoidance of Transfers Under California Common Law Fraudulent Conveyance

To state a cause of action for a fraudulent conveyance, the plaintiff must allege facts demonstrating a conveyance by a debtor to a third person for the purpose of preventing the creditor from reaching that interest to satisfy the creditor’s claim. (Kirkeby v. Superior Ct. (2004) 33 Cal.4th 642, 648.) Common law fraudulent conveyance requires injury to the creditor. (Berger v. Varum (2019) 35 Cal.App.5th 1013, 1020.)

Trustee demurs to the Thirteenth Cause of Action for avoidance of transfers under California common law fraudulent conveyance on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Trustee contends the Complaint fails to identify any specific transfer to the trust or to the Trustee.

In opposition, Plaintiff contends this claim is sufficiently pleaded under the same transfer-concealment allegations. Plaintiff contends the common law injury requirement is satisfied here because the Complaint alleges Trustee’s role in the concealment of her funds for Pengqiang’s benefit, and that Defendants deprived Plaintiff of the use and possession of her funds, i.e., \$1,250,000, and thereby caused financial harm.

The Court finds the Complaint alleges sufficient facts to state a cause of action for fraudulent conveyance. As noted above, the Complaint alleges that Pengqiang received money from Plaintiff, i.e., \$1,250,000, for safekeeping and investment purposes, that Pengqiang did not return the funds after Plaintiff’s demands, and that Pengqiang transferred some of the funds to the Defendants, which includes Trustee. The Complaint also alleges Plaintiff suffered financial harm by being deprived of her funds. (Compl., ¶¶ 11-39, 137-138, 155-156.)

Therefore, the Court OVERRULES the Demurrer to the Thirteenth Cause of Action.

Fifteenth Cause of Action – Declaratory Relief

To state a cause of action for declaratory relief, the plaintiff must allege facts demonstrating “(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party.” [Citation.]” (Lee v. Silveira (2016) 6 Cal.App.5th 527, 546.) “In the context of a demurrer, the courts evaluate whether the factual allegations of a complaint for declaratory relief reveal an actual, ripe controversy exists between the parties.” [Citation.]” (JPMorgan Chase Bank, N.A. v. Ward (2019) 33 Cal.App.5th 678, 688.) Past conduct is not proper subject matter for a declaratory relief claim. (Osseous Techs. of Am., Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366.) “Where a trial court has concluded the plaintiff did not state sufficient facts to support a statutory claim and therefore

sustained a demurrer as to that claim, a demurrer is also properly sustained as to a claim for declaratory relief which is 'wholly derivative' of the statutory claim. [Citation.]" (Ball v. FleetBoston Fin. Corp. (2008) 164 Cal.App.4th 794, 800.)

Trustee demurs to the Fifteenth Cause of Action for declaratory relief on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Trustee contends the Complaint's declaratory relief claim is wholly derivative of the inadequately pleaded substantive claims by alleging a controversy over Plaintiff's personal property, funds, money, and accounts, but does not identify any specific property owned, held, or controlled by Trustee that is the subject of an actual present controversy.

In opposition, Plaintiff contends that declaratory relief is proper because the Complaint alleges an actual controversy over Plaintiff's funds, accounts, and traceable property, including property allegedly held or controlled through the CW76 Trust. Plaintiff contends to allege that an actual and present controversy exists among Plaintiff and Defendants, including Trustee, over Plaintiff's personal property, funds, money, and accounts. Plaintiff contends to allege that Defendants wrongfully misappropriated those things, wrongfully changed ownership of such property and accounts to themselves, and threatens to continue doing so. Plaintiff contends to seek a binding declaration of the parties' legal rights and duties concerning the funds that they should be returned to Plaintiff, ownership should be declared in Plaintiff's name, and Defendants should be excluded from ownership of the subject property.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for declaratory relief. The Court agrees with Trustee that Plaintiff's declaratory relief claim is derivative of the preceding claims in the Complaint. (Ball v. FleetBoston Fin. Corp., supra, 164 Cal.App.4th at p. 800.) Plaintiff is merely asking to have her money returned to her. (See Compl., ¶¶ 168-172.) The Complaint alleges only facts concerning past conduct, i.e., the wrongful taking of Plaintiff's money, which is not a proper subject for declaratory relief. (Osseous Techs. of Am., Inc. v. DiscoveryOrtho Partners LLC, supra, 191 Cal.App.4th at p. 366.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Fifteenth Cause of Action without leave to amend.

LEGAL STANDARD – Motion to Strike

"Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof, but this time limitation shall not apply to motions specified in subdivision (e)." (Code Civ. Proc., § 435, subd. (b)(2).) "The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Id., § 436.)

PRELIMINARY ISSUES – Motion to Strike

Trustee's motion to strike misquotes from Smith v. Superior Court (1992) 10 Cal.App.4th 1033, 1041-1042 by adding "conclusory," to the phrase "devoid of any factual assertions". (Motion, 4:28-5:2.) The Court admonishes Trustee's counsel to be more cautious going forward when quoting from cases.

Plaintiff's Opposition incorrectly attributes the following quote to Miller v. National American Life Ins. Co. (1976) 54 Cal.App.3d 331, 336, and Horn v. Guaranty Chevrolet Motors (1969) 270 Cal.App.2d 477: "A fraud cause seeking punitive damages need not include an allegation that the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient." (Opp., 3:20-22.) The quoted language is found in the third case Plaintiff cited here, namely Stevens v. Superior Ct. (1986) 180 Cal.App.3d 605, 610-611.

Plaintiff's Opposition also incorrectly attributes the following quote to Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1144-1145: "may be liable for aiding and abetting a tort where the defendant knowingly gives 'substantial assistance' to a tortfeasor". (Opp., 4:14-16.) That language is not found in that case. The Court will discuss these matters further with

Plaintiff's counsel at the hearing on this Motion to Strike.

DISCUSSION – Motion to Strike

Meet and Confer

The Court finds Wei's efforts to meet and confer before moving to strike portions of Plaintiff's Complaint sufficient. (Wu Decl., ¶ 6; Code Civ. Proc., § 435.5, subd. (a).)

Punitive Damages and Code of Civil Procedure section 425.115 Statement

A claim for punitive damages is subject to a motion to strike when the allegations fail to rise to the level of malice, oppression, or fraud necessary under Civil Code section 3294. (*Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 64.)

Trustee seeks to strike the punitive damages allegations and request on the grounds that the Complaint fails to allege specific facts of malice, oppression or fraud by Trustee. Trustee contends the Complaint does not allege any specific act by Trustee demonstrating intent to injure Plaintiff, despicable conduct carried out with willful and conscious disregard of Plaintiff's rights, or cruel and unjust hardship inflicted in conscious disregard of Plaintiff's rights. Trustee also contends the Complaint's statement under Code of Civil Procedure section 425.115 should be stricken.

In opposition, Plaintiff contends punitive damages should not be stricken because the Complaint pleads trustee-capacity fraudulent concealment and that Trustee knowingly aided and abetted fraud. Plaintiff contends the Complaint alleges Pengqiang fraudulently induced Plaintiff to transfer approximately \$1,250,000 for safekeeping and investment purposes. Plaintiff contends to have demanded repayment after discovering the fraud and that Pengqiang engaged in various wrongful acts to prevent Plaintiff's discovery of the true status and location of her funds. Plaintiff then contends that the Complaint alleges Wei in her capacity as Trustee acted in concert with Pengqiang to conceal assets derived from Plaintiff's funds, including the transfer of one or more real properties to the CW76 Trust to obscure ownership of assets. Plaintiff contends the Complaint alleges Trustee acted under a common plan to conceal assets from Plaintiff. Plaintiff also contends the Code of Civil Procedure section 425.115 statement should not be stricken because that section authorizes a plaintiff seeking punitive damages to serve a statement giving notice of the amount of punitive damages sought before default may be taken.

The Court finds the Complaint fails to allege sufficient facts to support a claim for punitive damages against Trustee. As noted above, the Court sustained Trustee's Demurrer to most of Plaintiff's claims against Trustee. Although the Court overruled Trustee's Demurrer to the Twelfth and Thirteenth Causes of Action, the Court does not find that the Complaint alleges sufficient facts demonstrating that Trustee acted with malice, fraud, or oppression toward Plaintiff. (See Civ. Code, § 3294.) Rather, the Complaint simply alleged sufficient facts demonstrating that Pengqiang transferred some of Plaintiff's funds to Trustee for purposes of defrauding Plaintiff. The Complaint's allegations against Trustee are otherwise conclusory and devoid of facts showing Trustee knew the funds were stolen or otherwise acted with intent to harm Plaintiff or in disregard of Plaintiff's rights. (See Compl., ¶¶ 11-39.)

Moreover, although not mentioned in Trustee's moving papers, complaints may not allege specific monetary amounts for punitive damage claims. (Civ. Code, § 3295, subd. (e).) The Complaint violates this prohibition. (Compl., p. 26, ll. 21-23.) Code of Civil Procedure section 425.115 applies to a statement of damages, not a complaint. (See Code Civ. Proc., §§ 425.11, subd. (e), 425.115.)

Accordingly, the Court GRANTS the motion to strike Plaintiff's punitive damages allegations located at paragraphs 59, 110, 117, 147, 159, and Prayer for Relief, paragraph 5, as to Trustee with leave to amend. The Court GRANTS the motion to strike the Complaint's statement under Code of Civil Procedure section 425.115 as to Trustee without leave to amend.

Treble Damages and Attorney Fees Under Penal Code § 496, subdivision (c)

“Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney’s fees.” (Penal Code, § 496, subd. (c).)

Trustee contends the requests for treble damages and punitive damages under Penal Code section 496, subdivision (c), should also be stricken because the Complaint fails to state sufficient facts to state a cause of action for civil theft against Trustee. Trustee contends the Complaint does not identify any specific property that Trustee received, concealed, or withheld, nor does it allege facts supporting Wei’s actual knowledge that any property was stolen.

In opposition, Plaintiff contends the requests for treble damages and attorney fees under Penal Code section 496, subdivision (c), should not be stricken because they are statutory remedies for the adequately pleaded civil theft claim.

Given that the Court sustained Trustee’s Demurrer to Plaintiff’s Penal Code section 496, subdivision (c) claim, there is no other basis for Plaintiff to request treble damages and attorney fees. (See Penal Code, § 496, subd. (c); see also Code Civ. Proc., § 1033.5, subd. (a)(10) [attorney fees recoverable only if authorized by contract, law, or statute].)

Based on the foregoing, the Court GRANTS the Motion to Strike as to Plaintiff’s request for treble damages and attorney fees located at paragraphs 3 and 8 of the Prayer for Relief as to Trustee with leave to amend.

CONCLUSION

The Court SUSTAINS the Demurrer of Defendant Jiali Wei, as Trustee of the CW76 Trust, to the Second and Ninth Causes of Action with 20 days’ leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, as Trustee of the CW76 Trust, to the Sixth Cause of Action with 20 days’ leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, as Trustee of the CW76 Trust, to the Fifteenth Cause of Action without leave to amend. The Court SUSTAINS the Demurrer of Defendant Jiali Wei, as Trustee of the CW76 Trust, to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

The Court OVERRULES the Demurrer of Defendant Jiali Wei, as Trustee of the CW76 Trust, to the Twelfth and Thirteenth Causes of Action.

The Court GRANTS the Motion to Strike of the Defendant Jiali Wei, as Trustee of the CW76 Trust. The Court hereby STRIKES the following portions of the Complaint as to Defendant Jiali Wei, as Trustee of the CW76 Trust, with 20 days’ leave to amend:

1. Paragraphs 59, 110, 117, 147, and 159; and
2. Paragraphs 3, 5, and 8 of the Prayer for Relief.

The Court STRIKES the Complaint’s statement under Code of Civil Procedure section 425.115 as to Defendant Jiali Wei, as Trustee of the CW76 Trust, located on page 26, lines 21 through 23, without leave to amend.

Defendant Jiali Wei, as Trustee of the CW76 Trust, is ordered to give notice of the Court’s ruling within five calendar days of this order.

[1] The Court refers to Pengqiang by first name only to avoid confusion. No disrespect is intended.

1. Demurrer of Defendant Huimin Wu to Complaint; and
2. Motion to Strike Portions of Plaintiff's Complaint by Defendant Huimin Wu

TENTATIVE RULING

The Court SUSTAINS the Demurrer of Defendant Huimin Wu to the Second and Ninth Causes of Action with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant Huimin Wu to the Sixth with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant Huimin Wu to the Fifteenth Cause of Action without leave to amend. The Court SUSTAINS the Demurrer of Defendant Huimin Wu to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

The Court OVERRULES the Demurrer of Defendant Huimin Wu to the Twelfth and Thirteenth Causes of Action.

The Court GRANTS the Motion to Strike of the Defendant Huimin Wu. The Court hereby STRIKES the following portions of the Complaint as to Defendant Huimin Wu with 20 days' leave to amend:

1. Paragraphs 59, 110, 117, 147, and 159; and
2. Paragraphs 3, 5, and 8 of the Prayer for Relief.

The Court STRIKES the Complaint's statement under Code of Civil Procedure section 425.115 as to Defendant Huimin Wu located on page 26, lines 21 through 23, without leave to amend.

Defendant Huimin Wu is ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a fraud case. On February 17, 2026, plaintiff Siyu Wang, aka Selena Wang (Plaintiff) filed this action against defendants Pengqiang Wang (Pengqiang),[1] Jiali Wei, an individual (Wei), Jiali Wei, Trustee of the CW76 Trust, Dated September 22, 2021 (Trustee), Huimin Wu (Wu), SkyHealth Medical Group USA Inc. (SkyHealth) (collectively, Defendants), and Does 1 through 10, alleging causes of action for conversion, civil theft (Penal Code § 496), intentional misrepresentation (fraud), concealment (fraud), breach of fiduciary duty, accounting, money, money had and received, restitution based on quasi-contract, aiding and abetting, civil conspiracy, constructive fraud, avoidance of transfers under California Uniform Voidable Transaction Act, avoidance of transfers under California common law, breach of contract, and declaratory relief.

On April 20, 2026, Wu moved to strike portions of the complaint. On April 22, 2026, Wu demurred to the complaint. On June 30, 2026, Plaintiff opposed both motions. On July 7, 2026, Wu replied to both oppositions.

LEGAL STANDARD – Demurrer

A demurrer is a pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (Code Civ. Proc., § 422.10; see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994 (*Donabedian*).) It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (*Id.* at pp. 993-994.)

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian*, *supra*, 116 Cal.App.4th at p. 994.) No other extrinsic evidence can be considered. (*Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881 [error for court to consider facts asserted in memorandum supporting demurrer]; see also *Afuso v. United States Fid. & Guar. Co.* (1985) 169 Cal.App.3d 859, 862, disapproved on other grounds in *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287 [error to consider contents of release not part of court record].)

A demurrer can be utilized where the "face of the complaint" itself is incomplete or discloses some defense that would bar recovery. (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971-972.) The "face of the complaint" includes material contained in attached exhibits that are incorporated by reference into the complaint, or in a superseded complaint in the same action. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94; see also *Barnett v. Fireman's Fund Ins. Co.* (2001) 90 Cal.App.4th 500, 505 ["[W]e rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits"].)

A demurrer can only be sustained when it disposes of an entire pleading, cause of action, or affirmative defense. (See Cal. Rules of Court, rule 3.1320, subd. (a); *Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119; *Kong v. City of Hawaiian Gardens Redev. Agency* (2003) 108 Cal.App.4th 1028, 1046-1047.)

PRELIMINARY ISSUES – Demurrer

Plaintiff's Opposition attributes the quotation "a fiduciary relationship between the parties is not required to state a cause of action for accounting. All that is required is that some relationship exists that requires an accounting" to *Kritzer v. Lancaster* (1950) 96 Cal.App.2d 1, 7, but no such language is found in that case. (Opp., 6:15-17, bold and underline in original.) Plaintiff's Opposition also appears to improperly attribute "[t]o plead aiding and abetting by a defendant, the plaintiff must allege that the defendant had actual knowledge of the 'specific primary wrong' being committed, and gave substantial assistance to the wrongful conduct" to *Neilson v. Union Bank of California, N.A.* (2003) 290 F.Supp.2d 1101 and *Nasrawi v. Buck Consultants LLC* (2014) 231 Cal.App.4th 328, but no such language is found in either case. (Opp., 7:19-24.) There are other misquotations in Plaintiff's Opposition that the Court declines to address here. The Court will discuss these matters with Plaintiff's counsel at the hearing on the Demurrer.

DISCUSSION – Demurrer

Meet and Confer

The Court finds Wu's efforts to meet and confer before bringing this demurrer sufficient. (Wu Decl., ¶ 6; Code Civ. Proc., § 430.41, subd. (a).)

Second Cause of Action – Civil Theft (Penal Code § 496)

"(a) Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170." (Penal Code, § 496, subd. (a).)

“Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney’s fees.” (Penal Code, § 496, subd. (c).)

Wu demurs to the Second Cause of Action for civil theft (Penal Code § 496) on the grounds that it fails to state facts sufficient to constitute a cause of action. Wu contends the Complaint identifies no specific property Wu received, no specific transaction, no date, no account, no amount, and no facts establishing that Wu had actual knowledge the funds were stolen, embezzled, or otherwise wrongfully obtained.

In opposition, Plaintiff contends the civil theft claim is adequately pleaded because Wu is alleged to have concealed, withheld, and aided the concealment of Plaintiff-derived funds. Plaintiff contends the Complaint alleges Pengqiang wrongfully obtained and retained Plaintiff’s funds totaling \$1,250,000 through theft and fraud. Plaintiff contends the Complaint alleges Wu knowingly assisted Pengqiang in concealing assets derived from Plaintiff’s funds by holding, receiving, or transferring property and funds for Pengqiang’s benefit and by participating in transactions designed to shield assets from Plaintiff. Plaintiff argues the Complaint alleges Wu in various officer capacities exercised substantial control over SkyHealth’s finances and operations to assist Pengqiang in concealing assets. Plaintiff contends this cause of action alleges that Wu knowingly received, concealed, transferred, and withheld Plaintiff’s funds, and aided and abetted the concealment and retention of stolen property knowing Pengqiang wrongfully obtained them. Plaintiff contends that Plaintiff need not plead the exact account, transaction date, ledger entry, internal transfer record, or bank account number before discovery.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for civil theft under Penal Code section 496. The Complaint alleges in a conclusory fashion that Wu assisted Pengqiang in concealing assets and that Wu had various officer roles with SkyHealth to help Pengqiang conceal assets, which are insufficient. (Compl., ¶¶ 32, 37-38; Wexler v. California FAIR Plan Assn. (2021) 63 Cal.App.5th 55, 70 (Wexler) [conclusory allegations disregarded on demurrer].) The Complaint also fails to allege facts specifying how Wu knew the funds were stolen. (Compl., ¶¶ 32, 37-38.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Second Cause of Action with leave to amend.

Sixth Cause of Action – Accounting

To state a cause of action for an accounting, the plaintiff must allege facts demonstrating, “[a] cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. [Citations.]” (Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179 (Teselle).)

Wu demurs to the Sixth Cause of Action for accounting on the grounds that the Complaint fails to allege facts sufficient to state a cause of action. Wu contends the Complaint does not allege any fiduciary relationship between Plaintiff and Wu, or that Wu was involved in the handling, management, or control of Plaintiff’s funds. Wu also contends Wu’s corporate titles at SkyHealth do not create a fiduciary relationship with Plaintiff, who was a stranger to the corporation and had no dealings with Wu.

In opposition, Plaintiff contends the Complaint adequately alleges Wu held, received, transferred, or controlled Plaintiff-derived assets, and contends that the disposition of those assets cannot be determined without an accounting. Plaintiff contends a fiduciary relationship is not required for an accounting. Plaintiff contends the Complaint alleges that Wu knowingly assisted Pengqiang in concealing assets derived from Plaintiff’s funds by holding funds, receiving transfers, or allowing her accounts or name to be used to shield assets from Plaintiff. Plaintiff contends to allege that Wu exercised substantial control over SkyHealth’s finances and operations, and used that to help Pengqiang conceal assets. Plaintiff contends the Complaint alleges that the Defendants acted in concert to conceal assets derived from Plaintiff’s funds.

Plaintiff further contends the Complaint alleges a separate basis for accounting because the amount, location, and disposition of Plaintiff's funds are not ascertainable by a simple calculation. Plaintiff argues that Plaintiff seeks to determine what happened to those funds after Pengqiang received them. Plaintiff contends that Plaintiff is not required to trace every dollar at the pleading stage.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for accounting. While Plaintiff is correct that an accounting does not require a fiduciary relationship, the Complaint still fails to allege any facts demonstrating a relationship between Plaintiff and Wu, let alone one that would support an accounting claim. (Compl., ¶¶ 32, 37-38; Teselle, supra, 173 Cal.App.4th at p. 179.)

Moreover, "[a]n action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation. [Citation.]" (Teselle, supra, 173 Cal.App.4th at p. 179.) The Complaint alleges specific sums of money at issue, i.e., approximately \$550,000 and \$700,000, for a total of \$1,250,000. (Compl., ¶¶ 16, 20, 22, Prayer for Relief, ¶ 1.) Given the specificity of the amounts alleged, it is unclear to the Court whether Plaintiff can amend the Complaint and allege facts without running afoul of the sham pleading doctrine. (See Owens v. Kings Supermarket (1988) 198 Cal.App.3d 379, 383-384.)

Additionally, to the extent Plaintiff seeks to determine what was done with Plaintiff's funds, Plaintiff also alleges other fraud claims and a claim for restitution with a request for disgorgement of all ill-gotten gains, among other things. (See generally, Compl.) These causes of action and corresponding remedy should enable Plaintiff to determine what was allegedly done with Plaintiff's funds.

Accordingly, the Court SUSTAINS the Demurrer to the Sixth Cause of Action with leave to amend.

Ninth Cause of Action – Aiding and Abetting

To state a cause of action for aiding and abetting a tort, the plaintiff must alleges facts demonstrating that the defendant "(a) knows the other's conduct constitutes a breach of duty and gives substantial assistance or encouragement to the other to so act or (b) gives substantial assistance to the other in accomplishing a tortious result and the person's own conduct, separately considered, constitutes a breach of duty to the third person." [Citation.]" (Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1144.)

Wu demurs to the Ninth Cause of Action for aiding and abetting on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Wu contends the Complaint does not allege what Wu did to substantially assist Pengqiang, such as what assets Wu controlled, what transactions she facilitated, when she learned of Pengqiang's alleged misconduct, or how her conduct harmed Plaintiff. Wu contends that being Pengqiang's mother and holding corporate titles as SkyHealth are insufficient. Wu also points to paragraph 108 in the Complaint as showing that Plaintiff purportedly acknowledges this deficiency.

In opposition, Plaintiff contends the aiding and abetting claim pleads actual knowledge of specific primary wrongs and Wu's substantial assistance. Plaintiff contends the Complaint alleges Pengqiang's misconduct, Wu's actual knowledge from her close relationship between with Pengqiang, Wu's receipt or control over assets traceable to Plaintiff's funds, Wu's involvement in entities or structures used to hold or manage those assets, and the absence of any legitimate explanation for Wu's participation in handling or retaining those assets. Plaintiff contends the Complaint alleges that Wu assisted Pengqiang by holding funds, receiving transfers, or allowing her accounts or name to be used to shield assets from Plaintiff. Plaintiff contends the Complaint also alleges concrete assistance that Wu used her control over SkyHealth's finances and operations to help Pengqiang conceal assets. Plaintiff further contends that paragraph 108 is not an admission that Plaintiff lacks facts, but properly alleges the precise details of Defendants' internal transactions within Defendants' knowledge and control.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for aiding and abetting. As noted above, the Complaint alleges in a conclusory fashion that Wu assisted Pengqiang in concealing assets and that Wu had various

officer roles with SkyHealth to help Pengqiang conceal assets, which are insufficient. (Compl., ¶ 33; Wexler, supra, 63 Cal.App.5th at p. 70.) The Complaint fails to allege facts specifying how Wu knew the funds were stolen. Also, being Pengqiang's mother is insufficient. (See Compl., ¶¶ 32, 37-38.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Ninth Cause of Action with leave to amend.

Tenth Cause of Action – Civil Conspiracy

To invoke civil conspiracy liability against multiple defendants, the plaintiff must allege facts demonstrating, “(1) formation and operation of the conspiracy and (2) damage resulting to plaintiff (3) from a wrongful act done in furtherance of the common design.” [Citation.]” (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 223 Cal.App.4th 1105, 1136 (Prakashpalan).)

Wu demurs to the Tenth Cause of Action for civil conspiracy on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Wu contends the Complaint does not allege when Wu entered the agreement, what the terms of the agreement were, what overt acts Wu personally committed in furtherance of the alleged scheme, or any facts from which the existence of an actual agreement can be inferred apart from Wu's familial relationship with Pengqiang.

In opposition, Plaintiff contends that the civil conspiracy claim is supported by a pleaded insider relationship and a common transfer-concealment scheme. Plaintiff contends the Complaint pleads more than a family relationship and alleges that Wu is an insider who knowingly and actively assisted Pengqiang in concealing Plaintiff's assets by holding, receiving, or allowing her accounts or name to be used to shield assets from Plaintiff. Plaintiff contends the Complaint alleges Wu exercised substantial control over SkyHealth's finances and operations to help Pengqiang conceal assets. Plaintiff contends the Complaint alleges Wu acted under a common plan and shared objective to conceal assets, prevent Plaintiff from discovering the true location and disposition of Plaintiff's funds, and delay or defeat Plaintiff's recovery. Plaintiff further contends she does not need to plead the precise date she joined the conspiracy, that a defendant need not join a conspiracy at its inception, and that no overt act is required to establish the conspiracy.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for civil conspiracy against Wu. As noted above, the Complaint's allegations against Wu are conclusory and devoid of specific facts showing either Wu's knowledge of the facts comprising the underlying wrongful act or facts showing what Wu actually did in this matter. Also, Plaintiff's contention that Wu is an “insider” is not supported by any factual allegations in the Complaint. The only allegation showing that Wu is an “insider” is her being Pengqiang's mother, which is insufficient. (See Compl., ¶¶ 32, 37- 38.)

Moreover, although not mentioned in Wu's Demurrer, the Court notes that a civil conspiracy is not a separate cause of action. (City of Indus. v. City of Fillmore (2011) 198 Cal.App.4th 191, 211 [“Civil conspiracy is not an independent tort”].) As such, this cannot be remedied by amendment.

Based on the foregoing, the Court SUSTAINS the Demurrer to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

Twelfth Cause of Action – Avoidance of Transfers Under California Uniform Voidable Transaction [sic] Act

Under the Uniform Voidable Transaction Act, “[a] transfer made or obligation incurred by a debtor is voidable as to a creditor, whether the creditor's claim arose before or after the transfer was made or the obligation was incurred, if the debtor made the transfer or incurred the obligation as follows:

(1) With actual intent to hinder, delay, or defraud any creditor of the debtor.

(2) Without receiving a reasonably equivalent value in exchange for the transfer or obligation, and the debtor either:

(A) Was engaged or was about to engage in a business or a transaction for which the remaining assets of the debtor were unreasonably small in relation to the business or transaction.

(B) Intended to incur, or believed or reasonably should have believed that the debtor would incur, debts beyond the debtor's ability to pay as they became due."

(Civ. Code, § 3439.04, subd. (a).)

"A transfer made or obligation incurred by a debtor is voidable as to a creditor whose claim arose before the transfer was made or the obligation was incurred if the debtor made the transfer or incurred the obligation without receiving a reasonably equivalent value in exchange for the transfer or obligation and the debtor was insolvent at that time or the debtor became insolvent as a result of the transfer or obligation."

(Civ. Code, § 3439.05, subd. (a).)

Wu demurs to the Twelfth Cause of Action for avoidance of transfers under the California Uniform Voidable Transactions Act (UVTA) on the grounds that the Complaint fails to allege facts to state a cause of action. Wu contends the Complaint does not identify any specific transfer to Wu by date, amount, asset description, or asset details. Wu contends the Complaint does not allege what was transferred to Wu, when it was transferred, in what form, from what account, or for what purpose.

In opposition, Plaintiff contends this claim sufficiently pleads transfers to or for the benefit of Wu. Plaintiff contends Wu cites no law that details regarding the asset must be pleaded. Plaintiff contends the UVTA applies to all transfers and that the term "transfer" is broadly defined. Plaintiff contends the Complaint identifies the transfers and concealment at issue, namely \$1,250,000 transferred to Pengqiang for custodial safekeeping and investment purposes, and that Pengqiang had no authority to use those funds himself or others. Plaintiff contends the Complaint alleges that Pengqiang acted in concert with Wu and the other Defendants to conceal Plaintiff's assets. Plaintiff contends the Complaint also alleges Wu assisted Pengqiang in concealing assets by holding funds, receiving transfers, or allowing her accounts or name to be used to shield assets from Plaintiff and that Wu used her officer roles at SkyHealth to help conceal assets.

The Court finds the Complaint alleges sufficient facts to state a cause of action under the UVTA against Wu. The Complaint alleges that Pengqiang received money from Plaintiff, i.e., \$1,250,000, for safekeeping and investment purposes, that Pengqiang did not return the funds after Plaintiff's demands, and that Pengqiang transferred some of the funds to Wu. (Compl., ¶¶ 11-39, 138.) The Complaint does not need to allege facts with the amount of specificity Wu contends.

Based on the foregoing, the Court OVERRULES the Demurrer to the Twelfth Cause of Action.

Thirteenth Cause of Action – Avoidance of Transfers Under California Common Law Fraudulent Conveyance

To state a cause of action for a fraudulent conveyance, the plaintiff must allege facts demonstrating a conveyance by a debtor to a third person for the purpose of preventing the creditor from reaching that interest to satisfy the creditor's claim. (Kirkeby v. Superior Ct. (2004) 33 Cal.4th 642, 648.) Common law fraudulent conveyance requires injury to the creditor. (Berger v. Varum (2019) 35 Cal.App.5th 1013, 1020.)

Wu demurs to the Thirteenth Cause of Action for avoidance of transfers under California common law fraudulent conveyance [sic] on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. Wu contends the Complaint fails to identify any specific transfer to Wu.

In opposition, Plaintiff contends this cause of action is sufficiently pleaded under the same transfer-concealment allegations. Plaintiff contends the Complaint identifies the property at issue, the transfers and concealment alleged, the purpose of placing assets beyond Plaintiff's reach, and Wu's role in holding funds, receiving transfers, allowing her accounts or name to be used to shield assets, and using her control over SkyHealth to assist Wang in concealing assets. Plaintiff contends the additional injury requirement under common law fraudulent transfer is satisfied here because the Complaint alleges that Defendants' coordinated conduct deprived Plaintiff of the use and possession of her funds of at least \$1,250,000.

The Court finds the Complaint alleges sufficient facts to state a cause of action for fraudulent conveyance. As noted above, the Complaint alleges that Pengqiang received money from Plaintiff, i.e., \$1,250,000, for safekeeping and investment purposes, that Pengqiang did not return the funds after Plaintiff's demands, and that Pengqiang transferred some of the funds to Wu. The Complaint also alleges Plaintiff suffered financial harm by being deprived of her funds. (Compl., ¶¶ 11-39, 138, 155-156.)

Therefore, the Court OVERRULES the Demurrer to the Thirteenth Cause of Action.

Fifteenth Cause of Action – Declaratory Relief

To state a cause of action for declaratory relief, the plaintiff must allege facts demonstrating “(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party.” [Citation.]” (Lee v. Silveira (2016) 6 Cal.App.5th 527, 546.) “In the context of a demurrer, the courts evaluate whether the factual allegations of a complaint for declaratory relief reveal an actual, ripe controversy exists between the parties.” [Citation.]” (JPMorgan Chase Bank, N.A. v. Ward (2019) 33 Cal.App.5th 678, 688.) Past conduct is not proper subject matter for a declaratory relief claim. (Osseous Techs. of Am., Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366.) “Where a trial court has concluded the plaintiff did not state sufficient facts to support a statutory claim and therefore sustained a demurrer as to that claim, a demurrer is also properly sustained as to a claim for declaratory relief which is ‘wholly derivative’ of the statutory claim. [Citation.]” (Ball v. FleetBoston Fin. Corp. (2008) 164 Cal.App.4th 794, 800.)

Wu demurs to the Fifteenth Cause of Action for declaratory relief on the grounds that the Complaint fails to allege facts sufficient to state a cause of action. Wu contends this cause of action is wholly derivative of the inadequately pleaded substantive claims by alleging a controversy over Plaintiff's personal property, funds, money, and accounts, but does not identify any specific property owned, held, or controlled by Wu that is the subject of an actual present controversy.

In opposition, Plaintiff contends declaratory relief is proper because the Complaint alleges an actual controversy over funds, accounts, and traceable property. Plaintiff contends to allege that an actual and present controversy exists among Plaintiff and Defendants, including Wu, over Plaintiff's personal property, funds, money, and accounts. Plaintiff contends to allege that Defendants wrongfully misappropriated those things, wrongfully changed ownership of such property and accounts to themselves, and threaten to continue doing so. Plaintiff contends to allege that Wu assisted Pengqiang by holding funds, receiving transfers, or allowing her accounts or name to be used to shield assets from Plaintiff with knowledge of Pengqiang's obligations to Plaintiff. Plaintiff contends to also allege that Wu used her control over SkyHealth's finances and operations to assist Pengqiang in concealing assets. Plaintiff contends to seek a binding declaration of the parties' legal rights and duties concerning the funds that they should be returned to Plaintiff, ownership should be declared in Plaintiff's name, and Defendants should be excluded from ownership of the subject property.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for declaratory relief. The Court agrees with Wu that Plaintiff's declaratory relief claim is derivative of the preceding claims in the Complaint. (Ball v. FleetBoston Fin. Corp., supra, 164 Cal.App.4th at p. 800.) Plaintiff is merely asking to have her money returned to her. (See Compl., ¶¶ 168-172.) The Complaint alleges only facts concerning past conduct, i.e., the wrongful taking of Plaintiff's money, which is not a proper subject for declaratory relief. (Osseous Techs. of Am., Inc. v. DiscoveryOrtho Partners LLC, supra, 191

Cal.App.4th at p. 366.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Fifteenth Cause of Action without leave to amend.

LEGAL STANDARD – Motion to Strike

“Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof, but this time limitation shall not apply to motions specified in subdivision (e).” (Code Civ. Proc., § 435, subd. (b)(2).) “The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court.” (Id., § 436.)

PRELIMINARY ISSUES – Motion to Strike

Plaintiff’s Opposition incorrectly attributes the following quote to *Miller v. National American Life Ins. Co.* (1976) 54 Cal.App.3d 331, 336, and *Horn v. Guaranty Chevrolet Motors* (1969) 270 Cal.App.2d 477: “A fraud cause seeking punitive damages need not include an allegation that the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient.” (Opp., 3:22-26, bold and underline in original.) The quoted language is found in the third case Plaintiff cited here, namely *Stevens v. Superior Ct.* (1986) 180 Cal.App.3d 605, 610-611. The Court admonishes Plaintiff’s counsel to ensure accurate case quotations and citations going forward.

DISCUSSION – Motion to Strike

Meet and Confer

The Court finds Wu’s efforts to meet and confer before bringing this motion to strike sufficient. (Wu Decl.; Code Civ. Proc., § 435.5, subd. (a).)

Punitive Damages and Code of Civil Procedure section 425.115 Statement

A claim for punitive damages is subject to a motion to strike when the allegations fail to rise to the level of malice, oppression, or fraud necessary under Civil Code section 3294. (*Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 64.)

Wu moves to strike Plaintiff’s punitive damages allegations and request on the grounds that the Complaint fails to allege specific facts of malice, oppression or fraud by Wu. Wu contends the Complaint does not allege any specific act by Wu demonstrating intent to injure Plaintiff, despicable conduct carried out with willful and conscious disregard of Plaintiff’s rights, or cruel and unjust hardship inflicted in conscious disregard of Plaintiff’s rights. Wu also contends the Complaint’s statement under Code of Civil Procedure section 425.115 should be stricken.

In opposition, Plaintiff contends the Complaint pleads fraud and that Wu knowingly aided and abetted fraud. Plaintiff contends the Complaint alleges that Pengqiang fraudulently induced Plaintiff to transfer approximately \$1,250,000 for safekeeping and investment purposes while never intending to perform or return the funds as promised. Plaintiff contends to allege Pengqiang engaged in various wrongful acts to prevent Plaintiff’s discovery of the true status and location of her funds. Plaintiff further contends the Complaint alleges Wu assisted Pengqiang in concealing assets derived from Plaintiff’s funds by holding funds, receiving transfers, or allowing her accounts or name to be used to shield assets from Plaintiff with knowledge of Pengqiang’s obligations to Plaintiff. Plaintiff contends the Complaint also alleges Wu served in various officer roles at SkyHealth and exercised substantial control over SkyHealth’s finances and operations to help Pengqiang conceal assets.

Plaintiff also contends the Complaint alleges that Wu had actual knowledge of Wu's primary wrongful acts and knowingly provided substantial assistance. Plaintiff also contends the Code of Civil Procedure section 425.115 statement should not be stricken because that section authorizes a plaintiff seeking punitive damages to serve a statement giving notice of the amount of punitive damages sought before default may be taken.

The Court finds the Complaint fails to allege sufficient facts to support a claim for punitive damages against Wu. As noted above, the Court sustained Wu's Demurrer to most of Plaintiff's claims against Wu. Although the Court overruled Wu's Demurrer to the Twelfth and Thirteenth Causes of Action, the Court does not find that the Complaint alleges sufficient facts demonstrating that Wu acted with malice, fraud, or oppression toward Plaintiff. (See Civ. Code, § 3294; *Turman v. Turning Point of Central California, Inc.*, supra, 191 Cal.App.4th at p. 64.) Rather, the Complaint simply alleged sufficient facts demonstrating that Pengqiang transferred some of Plaintiff's funds to Wu for purposes of defrauding Plaintiff. The Complaint's allegations against Wu are otherwise conclusory and devoid of facts showing Wu knew the funds were stolen or otherwise acted with intent to harm Plaintiff or in disregard of Plaintiff's rights. (See Compl., ¶¶ 8-39.)

Moreover, although not mentioned in Wu's moving papers, complaints may not allege specific monetary amounts for punitive damage claims. (Civ. Code, § 3295, subd. (e).) The Complaint violates this prohibition. (Compl., p. 26, ll. 21-23.) Code of Civil Procedure section 425.115 applies to a statement of damages, not a complaint. (See Code Civ. Proc., §§ 425.11, subd. (e), 425.115.)

Accordingly, the Court GRANTS the motion to strike Plaintiff's punitive damages allegations located at paragraphs 59, 110, 117, 147, 159, and Prayer for Relief, paragraph 5, as to Wu with leave to amend. The Court GRANTS the motion to strike the Complaint's statement under Code of Civil Procedure section 425.115 as to Wu without leave to amend.

Treble Damages and Attorney Fees Under Penal Code § 496, subdivision (c)

"Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees." (Penal Code, § 496, subd. (c).)

Wu contends the requests for treble damages and attorney fees under Penal Code section 496, subdivision (c), should also be stricken because the Complaint fails to state sufficient facts to state a cause of action for civil theft against Wu. Wu contends the Complaint does not identify any specific property that Wu received, concealed, or withheld, nor does it allege facts supporting Wu's actual knowledge that any property was stolen.

In opposition, Plaintiff contends the requests for treble damages and attorney fees under Penal Code section 496, subdivision (c), should not be stricken because they are statutory remedies for the adequately pleaded civil theft claim.

Given that the Court sustained Wu's Demurrer to Plaintiff's Penal Code section 496, subdivision (c) claim, there is no other basis for Plaintiff to request treble damages and attorney fees. (See Penal Code, § 496, subd. (c); see also Code Civ. Proc., § 1033.5, subd. (a)(10) [attorney fees recoverable only if authorized by contract, law, or statute].)

Based on the foregoing, the Court GRANTS the Motion to Strike as to Plaintiff's request for treble damages and attorney fees located at paragraphs 3 and 8 of the Prayer for Relief as to Wu with leave to amend.

CONCLUSION

The Court SUSTAINS the Demurrer of Defendant Huimin Wu to the Second and Ninth Causes of Action with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant Huimin Wu to the Sixth with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant Huimin Wu to the Fifteenth Cause of Action without leave to amend. The Court

SUSTAINS the Demurrer of Defendant Huimin Wu to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

The Court OVERRULES the Demurrer of Defendant Huimin Wu to the Twelfth and Thirteenth Causes of Action.

The Court GRANTS the Motion to Strike of the Defendant Huimin Wu. The Court hereby STRIKES the following portions of the Complaint as to Defendant Huimin Wu with 20 days' leave to amend:

1. Paragraphs 59, 110, 117, 147, and 159; and
2. Paragraphs 3, 5, and 8 of the Prayer for Relief.

The Court STRIKES the Complaint's statement under Code of Civil Procedure section 425.115 as to Defendant Huimin Wu located on page 26, lines 21 through 23, without leave to amend.

Defendant Huimin Wu is ordered to give notice of the Court's ruling within five calendar days of this order.

[1] The Court refers to Pengqiang by first name only to avoid confusion. No disrespect is intended.

1. Demurrer of Defendant SkyHealth Medical Group USA Inc. to Complaint; and
2. Motion to Strike Portions of Plaintiff's Complaint by Defendant SkyHealth Medical Group USA Inc.

TENTATIVE RULING

The Court SUSTAINS the Demurrer of Defendant SkyHealth Medical Group USA Inc. to the Second and Ninth Causes of Action with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant SkyHealth Medical Group USA Inc. to the Sixth Cause of Action with 20 days' leave to amend. The Court SUSTAINS the Demurrer of Defendant SkyHealth Medical Group USA Inc. to the Fifteenth Cause of Action without leave to amend. The Court SUSTAINS the Demurrer of Defendant SkyHealth Medical Group USA Inc. to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

The Court OVERRULES the Demurrer of Defendant SkyHealth Medical Group USA Inc. to the Twelfth and Thirteenth Causes of Action.

The Court GRANTS the Motion to Strike of the Defendant SkyHealth Medical Group USA Inc.. The Court hereby STRIKES the following portions of the Complaint as to Defendant SkyHealth Medical Group USA Inc. with 20 days' leave to amend:

1. Paragraphs 59, 110, 117, 147, and 159; and
2. Paragraphs 3, 5, and 8 of the Prayer for Relief.

The Court STRIKES the Complaint's statement under Code of Civil Procedure section 425.115 as to Defendant SkyHealth Medical Group USA Inc. located on page 26, lines 21 through 23, without leave to amend.

Defendant SkyHealth Medical Group USA Inc. is ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is a fraud case. On February 17, 2026, plaintiff Siyu Wang, aka Selena Wang (Plaintiff) filed this action against defendants Pengqiang Wang (Pengqiang),[1] Jiali Wei, an individual (Wei), Jiali Wei, Trustee of the CW76 Trust, Dated September 22, 2021 (Trustee), Huimin Wu (Wu), SkyHealth Medical Group USA Inc. (SkyHealth) (collectively, Defendants), and Does 1 through 10, alleging causes of action for conversion, civil theft (Penal Code § 496), intentional misrepresentation (fraud), concealment (fraud), breach of fiduciary duty, accounting, money, money had and received, restitution based on quasi-contract, aiding and abetting, civil conspiracy, constructive fraud, avoidance of transfers under California Uniform Voidable Transaction Act, avoidance of transfers under California common law, breach of contract, and declaratory relief.

On April 22, 2026, SkyHealth demurred to and moved to strike portions of the complaint. On June 23, 2026, Plaintiff opposed both motions. On July 8, 2026, SkyHealth replied to both Oppositions.

LEGAL STANDARD – Demurrer

A demurrer is a pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading (complaint, answer or cross-complaint). (Code Civ. Proc., § 422.10; see *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994 (*Donabedian*).) It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purposes of ruling on the demurrer, all facts pleaded in the complaint are assumed to be true. (*Id.* at pp. 993-994.)

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian*, supra, 116 Cal.App.4th at p. 994.) No other extrinsic evidence can be considered. (*Ion Equip. Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881 [error for court to consider facts asserted in memorandum supporting demurrer]; see also *Afuso v. United States Fid. & Guar. Co.* (1985) 169 Cal.App.3d 859, 862, disapproved on other grounds in *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287 [error to consider contents of release not part of court record].)

A demurrer can be utilized where the "face of the complaint" itself is incomplete or discloses some defense that would bar recovery. (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971-972.) The "face of the complaint" includes material contained in attached exhibits that are incorporated by reference into the complaint, or in a superseded complaint in the same action. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94; see also *Barnett v. Fireman's Fund Ins. Co.* (2001) 90 Cal.App.4th 500, 505 ["[W]e rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits"].)

A demurrer can only be sustained when it disposes of an entire pleading, cause of action, or affirmative defense. (See Cal. Rules of Court, rule 3.1320, subd. (a); *Poizner v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119; *Kong v. City of Hawaiian Gardens Redev. Agency* (2003) 108 Cal.App.4th 1028, 1046-1047.)

PRELIMINARY ISSUES – Demurrer

Plaintiff's Opposition attributes the quotation "a fiduciary relationship between the parties is not required to state a cause of action for accounting. All that is required is that some relationship exists that requires an accounting" to *Kritzer v. Lancaster* (1950) 96 Cal.App.2d 1, 7, but no such language is found in that case. (Opp., 6:16-18, bold and underline in original.) Plaintiff's Opposition also appears to improperly attribute "[t]o plead aiding and abetting by a defendant, the plaintiff must allege that the defendant had actual knowledge of the 'specific primary wrong' being committed, and gave substantial

assistance to the wrongful conduct” to Neilson v. Union Bank of California, N.A. (2003) 290 F.Supp.2d 1101 and Nasrawi v. Buck Consultants LLC (2014) 231 Cal.App.4th 328, but no such language is found in either case. (Opp., 6:12-16.) There are other misquotations in Plaintiff’s Opposition that the Court declines to address here. The Court will discuss these matters with Plaintiff’s counsel at the hearing on the Demurrer.

DISCUSSION – Demurrer

Meet and Confer

The Court finds SkyHealth’s efforts to meet and confer before bringing this demurrer sufficient. (Wu Decl., ¶ 6; Code Civ. Proc., § 430.41, subd. (a).)

Second Cause of Action – Civil Theft (Penal Code § 496)

“(a) Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170.” (Penal Code, § 496, subd. (a).)

“Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney’s fees.” (Penal Code, § 496, subd. (c).)

SkyHealth demurs to the Second Cause of Action for civil theft (Penal Code § 496) on the grounds that it fails to state facts sufficient to constitute a cause of action. SkyHealth contends the Complaint identifies no specific property SkyHealth received, no specific transaction, no date, no bank account, no amount, and no facts establishing that SkyHealth had actual knowledge the funds were stolen, embezzled, or otherwise wrongfully obtained. SkyHealth also contends the Complaint does not allege that any officer or agent of SkyHealth received Plaintiff’s funds on SkyHealth’s behalf or under SkyHealth’s direction.

In opposition, Plaintiff contends the civil theft claim is adequately pleaded because SkyHealth is alleged to have concealed, withheld, and aided the concealment of Plaintiff-derived funds. Plaintiff contends the Complaint alleges Pengqiang wrongfully obtained and retained Plaintiff’s money and that SkyHealth knowingly assisted Pengqiang in concealing assets derived from Plaintiff’s funds. Plaintiff argues that SkyHealth is imputed with the intent and knowledge of Wu, i.e., Pengqiang’s mother, who served in various officer roles for SkyHealth and exercised substantial control over SkyHealth’s finances and operations, which Wu used to conceal assets through SkyHealth. Plaintiff contends that Plaintiff need not plead internal corporate bank records before discovery and contends the Complaint alleges SkyHealth received or commingled assets derived from Plaintiff’s funds and obscured true ownership.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for civil theft under Penal Code section 496. The Complaint alleges in a conclusory fashion that SkyHealth assisted Pengqiang in concealing assets, which is insufficient. (Compl., ¶¶ 32, 37-38; Wexler v. California FAIR Plan Assn. (2021) 63 Cal.App.5th 55, 70 (Wexler) [conclusory allegations disregarded on demurrer].) The Complaint also fails to allege facts specifying how SkyHealth knew the funds or assets were stolen. (Compl., ¶¶ 32, 37-38.) Also, Wu being Pengqiang’s mother does not show how SkyHealth allegedly knew the funds or assets were stolen.

Based on the foregoing, the Court SUSTAINS the Demurrer to the Second Cause of Action with leave to amend.

Sixth Cause of Action – Accounting

To state a cause of action for an accounting, the plaintiff must allege facts demonstrating, “[a] cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. [Citations.]” (Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179 (Teselle).)

SkyHealth demurs to the Sixth Cause of Action for accounting on the grounds that the Complaint fails to allege facts sufficient to state a cause of action. SkyHealth contends the Complaint does not allege any fiduciary relationship between Plaintiff and SkyHealth. SkyHealth contends Plaintiff was not a shareholder, officer, director, employee, client, patient, or customer of SkyHealth, and that there is no allegation SkyHealth handled, managed, or controlled Plaintiff's funds. SkyHealth also contends Wu's relation to Pengqiang does not create a fiduciary obligation either.

In opposition, Plaintiff contends the Complaint adequately alleges SkyHealth received, controlled, and commingled traceable assets and holds the necessary records. Plaintiff contends the Complaint alleges a relationship requiring an accounting through Pengqiang's use of SkyHealth to hold, transfer, commingle, and conceal assets derived from Plaintiff's funds and a separate need for an accounting because the true amount, location, and disposition of Plaintiff's funds cannot be ascertained without SkyHealth's records. Plaintiff contends SkyHealth contends a fiduciary relationship is not required for an accounting and that the Complaint alleges a relationship requiring an accounting Pengqiang's use of SkyHealth to receive, commingle, and conceal assets derived from Plaintiff's funds. Plaintiff contends to allege that Pengqiang wrongfully obtained Plaintiff's funds of approximately \$1,250,000 intended for safekeeping and investment purposes. Plaintiff contends the Complaint alleges that the Defendants acted in concert to conceal assets derived from Plaintiff's funds and that Pengqiang used SkyHealth to help conceal those assets. Plaintiff contends the Complaint alleges Wu in her various officer capacities used SkyHealth to help Pengqiang conceal assets. Plaintiff also contends that Plaintiff seeks to determine what Pengqiang did with Plaintiff's funds and that those facts are not ascertainable from Plaintiff's initial transfer records.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for accounting. While Plaintiff is correct that an accounting does not require a fiduciary relationship, the Complaint still fails to allege any facts demonstrating a relationship between Plaintiff and SkyHealth, let alone one that would support an accounting claim. (Compl., ¶¶ 32, 37-38; Teselle, supra, 173 Cal.App.4th at p. 179.)

Moreover, “[a]n action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation. [Citation.]” (Teselle, supra, 173 Cal.App.4th at p. 179.) The Complaint alleges specific sums of money at issue, i.e., approximately \$550,000 and \$700,000, for a total of \$1,250,000. (Compl., ¶¶ 16, 20, 22, Prayer for Relief, ¶ 1.) Given the specificity of the amounts alleged, it is unclear to the Court whether Plaintiff can amend the Complaint and allege facts without running afoul of the sham pleading doctrine. (See Owens v. Kings Supermarket (1988) 198 Cal.App.3d 379, 383-384.)

Additionally, to the extent Plaintiff seeks to determine what was done with Plaintiff's funds, Plaintiff also alleges other fraud claims and a claim for restitution with a request for disgorgement of all ill-gotten gains, among other things. (See generally, Compl.) These causes of action and corresponding remedy should enable Plaintiff to determine what was allegedly done with Plaintiff's funds.

Accordingly, the Court SUSTAINS the Demurrer to the Sixth Cause of Action with leave to amend.

Ninth Cause of Action – Aiding and Abetting

To state a cause of action for aiding and abetting a tort, the plaintiff must alleges facts demonstrating that the defendant “(a) knows the other's conduct constitutes a breach of duty and gives substantial assistance or encouragement to the other to so act or (b) gives substantial assistance to the other in accomplishing a tortious result and the person's own conduct, separately considered, constitutes a breach of duty to the third person.” [Citation.]” (Casey v. U.S. Bank Nat. Assn. (2005)

127 Cal.App.4th 1138, 1144.)

SkyHealth demurs to the Ninth Cause of Action for aiding and abetting on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. SkyHealth contends the Complaint does not identify what SkyHealth did that constituted substantial assistance to Pengqiang, such as opening an account for Plaintiff's funds, executing a transfer, holding assets in name on Pengqiang's behalf, or any other affirmative corporate action. SkyHealth contends the allegation that SkyHealth's officers used the corporation to conceal assets is conclusory. SkyHealth also points to paragraph 108 in the Complaint as showing that Plaintiff purportedly acknowledges this deficiency.

In opposition, Plaintiff contends the aiding and abetting claim pleads actual knowledge of specific primary wrongs and SkyHealth's substantial assistance. Plaintiff contends the Complaint alleges Pengqiang's misconduct, SkyHealth's actual knowledge based on the close relationships from Pengqiang, Wu, and SkyHealth, SkyHealth's receipt or control over assets traceable to Plaintiff's funds, SkyHealth's involvement in entities or structures used to hold or manage those assets, and the absence of any legitimate explanation for SkyHealth's participation in handling or retaining those assets. Plaintiff contends the Complaint alleges substantial assistance by alleging that SkyHealth assisted Pengqiang by receiving, holding, transferring, concealing, or shielding assets derived from Plaintiff's funds. Plaintiff contends the Complaint alleges Wu, i.e., Pengqiang's mother, controlled SkyHealth and exercised substantial control over SkyHealth's finances and operations to help Pengqiang conceal assets. Plaintiff further contends that paragraph 108 is not an admission that Plaintiff lacks facts, but properly alleges the details of SkyHealth's internal transactions within Defendants' knowledge and control.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for aiding and abetting. As noted above, the Complaint alleges in a conclusory fashion that SkyHealth assisted Pengqiang in concealing assets. (Compl., ¶ 33; Wexler, *supra*, 63 Cal.App.5th at p. 70.) The Complaint fails to allege facts specifying how SkyHealth knew the funds were stolen. Also, Wu being Pengqiang's mother is insufficient. (See Compl., ¶¶ 32, 37-38.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Ninth Cause of Action with leave to amend.

Tenth Cause of Action – Civil Conspiracy

To invoke civil conspiracy liability against multiple defendants, the plaintiff must allege facts demonstrating, “(1) formation and operation of the conspiracy and (2) damage resulting to plaintiff (3) from a wrongful act done in furtherance of the common design.” [Citation.]” (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 223 Cal.App.4th 1105, 1136 (Prakashpalan).)

SkyHealth demurs to the Tenth Cause of Action for civil conspiracy on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. SkyHealth contends the Complaint does not allege when SkyHealth entered the agreement, how SkyHealth manifested its assent, what overt acts SkyHealth committed in furtherance of the alleged scheme, or any facts from which the existence of an actual agreement can be inferred. SkyHealth contends the Complaint identifies no agent to act on SkyHealth's behalf.

In opposition, Plaintiff contends that the civil conspiracy claim is supported by a pleaded insider relationship and a common transfer-concealment scheme. Plaintiff contends the Complaint alleges that Defendants acted in concert with SkyHealth to conceal Plaintiff's funds and that Pengqiang used SkyHealth to receive or commingle assets derived from Plaintiff's funds to obscure true ownership. Plaintiff contends the Complaint alleges that Wu in her capacity as an officer of SkyHealth exercised substantial control over SkyHealth's finances and operations and used that control to conceal assets through SkyHealth. Plaintiff contends the Complaint also expressly alleges that Defendants acted under a common plan to conceal Plaintiff's funds. Plaintiff further contends she does not need to plead any overt acts for a conspiracy.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for civil conspiracy against SkyHealth. As noted above, the Complaint's allegations against SkyHealth are conclusory and devoid of specific facts showing either SkyHealth's knowledge of the facts comprising the underlying wrongful act or facts showing what SkyHealth actually did in

this matter. Also, Plaintiff's contention that SkyHealth is an "insider" is not supported by any factual allegations in the Complaint. The only allegation showing that SkyHealth is an "insider" is Wu being Pengqiang's mother, which is insufficient. (See Compl., ¶¶ 32, 37- 38.)

Moreover, although not mentioned in SkyHealth's Demurrer, the Court notes that a civil conspiracy is not a separate cause of action. (*City of Indus. v. City of Fillmore* (2011) 198 Cal.App.4th 191, 211 ["Civil conspiracy is not an independent tort"].) As such, this cannot be remedied by amendment.

Based on the foregoing, the Court SUSTAINS the Demurrer to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

Twelfth Cause of Action – Avoidance of Transfers Under California Uniform Voidable Transaction [sic] Act

Under the Uniform Voidable Transaction Act, "[a] transfer made or obligation incurred by a debtor is voidable as to a creditor, whether the creditor's claim arose before or after the transfer was made or the obligation was incurred, if the debtor made the transfer or incurred the obligation as follows:

(1) With actual intent to hinder, delay, or defraud any creditor of the debtor.

(2) Without receiving a reasonably equivalent value in exchange for the transfer or obligation, and the debtor either:

(A) Was engaged or was about to engage in a business or a transaction for which the remaining assets of the debtor were unreasonably small in relation to the business or transaction.

(B) Intended to incur, or believed or reasonably should have believed that the debtor would incur, debts beyond the debtor's ability to pay as they became due."

(Civ. Code, § 3439.04, subd. (a).)

"A transfer made or obligation incurred by a debtor is voidable as to a creditor whose claim arose before the transfer was made or the obligation was incurred if the debtor made the transfer or incurred the obligation without receiving a reasonably equivalent value in exchange for the transfer or obligation and the debtor was insolvent at that time or the debtor became insolvent as a result of the transfer or obligation."

(Civ. Code, § 3439.05, subd. (a).)

SkyHealth demurs to the Twelfth Cause of Action for avoidance of transfers under the California Uniform Voidable Transactions Act (UVTA) on the grounds that the Complaint fails to allege facts to state a cause of action. SkyHealth contends the Complaint does not identify any specific transfer to or through SkyHealth, but instead alleges that Plaintiff transferred funds to Pengqiang personally. SkyHealth contends the Complaint does not allege what asset was transferred to SkyHealth, when, by whom, in what form, or for what purpose.

In opposition, Plaintiff contends this claim sufficiently pleads transfers and concealment of Plaintiff-derived assets. Plaintiff contends the Complaint identifies the transfers and concealment at issue, namely Pengqiang wrongfully obtaining Plaintiff's money in the approximate amount of \$1,250,000 intended for safekeeping and investment purposes. Plaintiff contends to then allege that Defendants acted in concert to conceal Plaintiff's funds and that Pengqiang used SkyHealth to conceal assets. Plaintiff contends to plead a transfer to SkyHealth by alleging that SkyHealth received and held assets derived from

Plaintiff's funds, and that SkyHealth transferred or commingled those assets to obscure their true ownership. Plaintiff contends the Complaint also alleges SkyHealth participated in those transfers via Wu, i.e., Pengqiang's mother, in her various officer roles and through her control of SkyHealth to conceal assets.

The Court finds the Complaint alleges sufficient facts to state a cause of action under the UVTA against SkyHealth. The Complaint alleges that Pengqiang received money from Plaintiff, i.e., \$1,250,000, for safekeeping and investment purposes, that Pengqiang did not return the funds after Plaintiff's demands, and that Pengqiang transferred some of the funds to SkyHealth. (Compl., ¶¶ 11-39, 138.) The Complaint does not necessarily need to allege facts with the amount of specificity SkyHealth contends.

Based on the foregoing, the Court **OVERRULES** the Demurrer to the Twelfth Cause of Action.

Thirteenth Cause of Action – Avoidance of Transfers Under California Common Law Fraudulent Conveyance

To state a cause of action for a fraudulent conveyance, the plaintiff must allege facts demonstrating a conveyance by a debtor to a third person for the purpose of preventing the creditor from reaching that interest to satisfy the creditor's claim. (Kirkeby v. Superior Ct. (2004) 33 Cal.4th 642, 648.) Common law fraudulent conveyance requires injury to the creditor. (Berger v. Varum (2019) 35 Cal.App.5th 1013, 1020.)

SkyHealth demurs to the Thirteenth Cause of Action for avoidance of transfers under California common law fraudulent conveyance [sic] on the grounds that the Complaint fails to state facts sufficient to constitute a cause of action. SkyHealth contends the Complaint fails to identify any specific transfer to or through SkyHealth, and that this cause of action fails for the same reasons as the UVTA claim.

In opposition, Plaintiff contends this cause of action is sufficiently pleaded under the same transfer-concealment allegations. Plaintiff contends the Complaint identifies the property at issue, the transfers and concealment alleged, the purpose of placing assets beyond Plaintiff's reach, and SkyHealth's alleged role in receiving, holding, transferring, commingling, or obscuring assets derived from Plaintiff's funds. Plaintiff contends the additional injury requirement under common law fraudulent transfer is satisfied here because the Complaint alleges that Defendants' coordinated conduct deprived Plaintiff of the use and possession of her funds of at least \$1,250,000.

The Court finds the Complaint alleges sufficient facts to state a cause of action for fraudulent conveyance. As noted above, the Complaint alleges that Pengqiang received money from Plaintiff, i.e., \$1,250,000, for safekeeping and investment purposes, that Pengqiang did not return the funds after Plaintiff's demands, and that Pengqiang transferred some of the funds to SkyHealth. The Complaint also alleges Plaintiff suffered financial harm by being deprived of her funds. (Compl., ¶¶ 11-39, 138, 155-156.)

Therefore, the Court **OVERRULES** the Demurrer to the Thirteenth Cause of Action.

Fifteenth Cause of Action – Declaratory Relief

To state a cause of action for declaratory relief, the plaintiff must allege facts demonstrating “(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party.” [Citation.]” (Lee v. Silveira (2016) 6 Cal.App.5th 527, 546.) “In the context of a demurrer, the courts evaluate whether the factual allegations of a complaint for declaratory relief reveal an actual, ripe controversy exists between the parties.” [Citation.]” (JPMorgan Chase Bank, N.A. v. Ward (2019) 33 Cal.App.5th 678, 688.) Past conduct is not proper subject matter for a declaratory relief claim. (Osseous Techs. of Am., Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366.) “Where a trial court has concluded the plaintiff did not state sufficient facts to support a statutory claim and therefore sustained a demurrer as to that claim, a demurrer is also properly sustained as to a claim for declaratory relief which is ‘wholly derivative’ of the statutory claim. [Citation.]” (Ball v. FleetBoston Fin. Corp. (2008) 164 Cal.App.4th 794, 800.)

SkyHealth demurs to the Fifteenth Cause of Action for declaratory relief on the grounds that the Complaint fails to allege facts sufficient to state a cause of action. SkyHealth contends this cause of action is wholly derivative of the inadequately pleaded substantive claims by alleging a controversy over Plaintiff's personal property, funds, money, and accounts, but does not identify any specific property owned, held, or controlled by SkyHealth that is the subject of an actual present controversy.

In opposition, Plaintiff contends declaratory relief is proper because the Complaint alleges an actual controversy over funds, accounts, and traceable property. Plaintiff contends to allege that an actual and present controversy exists among Plaintiff and Defendants, including SkyHealth, over Plaintiff's personal property, funds, money, and accounts. Plaintiff contends to allege that Defendants wrongfully misappropriated those things, wrongfully changed ownership of such property and accounts to themselves, and threaten to continue doing so. Plaintiff contends to seek a declaration of the parties' legal rights and duties concerning the funds that they should be returned to Plaintiff, ownership should be declared in Plaintiff's name, and Defendants should be excluded from ownership of the subject property.

The Court finds the Complaint fails to allege sufficient facts to state a cause of action for declaratory relief. The Court agrees with SkyHealth that Plaintiff's declaratory relief claim is derivative of the preceding claims in the Complaint. (Ball v. FleetBoston Fin. Corp., supra, 164 Cal.App.4th at p. 800.) Plaintiff is merely asking to have her money returned to her. (See Compl., ¶¶ 168-172.) The Complaint alleges only facts concerning past conduct, i.e., the wrongful taking of Plaintiff's money, which is not a proper subject for declaratory relief. (Osseous Techs. of Am., Inc. v. DiscoveryOrtho Partners LLC, supra, 191 Cal.App.4th at p. 366.)

Based on the foregoing, the Court SUSTAINS the Demurrer to the Fifteenth Cause of Action without leave to amend.

LEGAL STANDARD – Motion to Strike

"Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof, but this time limitation shall not apply to motions specified in subdivision (e)." (Code Civ. Proc., § 435, subd. (b)(2).) "The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Id., § 436.)

PRELIMINARY ISSUES – Motion to Strike

Plaintiff's Opposition incorrectly attributes the following quote to Miller v. National American Life Ins. Co. (1976) 54 Cal.App.3d 331, 336, and Horn v. Guaranty Chevrolet Motors (1969) 270 Cal.App.2d 477: "A fraud cause seeking punitive damages need not include an allegation that the fraud was motivated by the malicious desire to inflict injury upon the victim. The pleading of fraud is sufficient." (Opp., 3:20-24, bold and underline in original.) The quoted language is found in the third case Plaintiff cited here, namely Stevens v. Superior Ct. (1986) 180 Cal.App.3d 605, 610-611.

Plaintiff's Opposition also incorrectly attributes the following quote to Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1144-1145: "may be liable for aiding and abetting a tort where the defendant knowingly gives 'substantial assistance' to a tortfeasor". (Opp., 4:10-12.) That language is not found in that case. The Court will discuss these matters further with Plaintiff's counsel at the hearing on this Motion to Strike.

DISCUSSION – Motion to Strike

Meet and Confer

The Court finds SkyHealth's efforts to meet and confer before bringing this motion to strike sufficient. (Wu Decl.; Code Civ. Proc., § 435.5, subd. (a).)

Punitive Damages and Code of Civil Procedure section 425.115 Statement

A claim for punitive damages is subject to a motion to strike when the allegations fail to rise to the level of malice, oppression, or fraud necessary under Civil Code section 3294. (Turman v. Turning Point of Central California, Inc. (2010) 191 Cal.App.4th 53, 64.)

SkyHealth moves to strike Plaintiff's punitive damages allegations and request on the grounds that the Complaint fails to allege specific facts of malice, oppression or fraud by SkyHealth. SkyHealth contends the Complaint does not allege any specific act by SkyHealth demonstrating intent to injure Plaintiff, despicable conduct carried out with willful and conscious disregard of Plaintiff's rights, or cruel and unjust hardship inflicted in conscious disregard of Plaintiff's rights. SkyHealth also argues that it is subject to the heightened standard of Civil Code section 3294, subdivision (b), and that the Complaint does not allege Wu or any other officer, director, or managing agent of SkyHealth authorized or ratified any wrongful conduct directed at Plaintiff. SkyHealth contends that the allegation that Pengqiang used SkyHealth to conceal assets is conclusory and insufficient. SkyHealth further contends the Complaint's statement under Code of Civil Procedure section 425.115 should be stricken.

In opposition, Plaintiff contends the Complaint pleads fraud and that SkyHealth knowingly aided and abetted fraud. Plaintiff contends the Complaint alleges that Pengqiang falsely represented that Plaintiff's funds would be held in cash in a safe solely for Plaintiff's benefit, that additional funds would be used for investment, that Pengqiang intended to marry Plaintiff, and that Pengqiang was critically ill or in a coma. Plaintiff contends the Complaint pleads SkyHealth's knowing assistance in Pengqiang's fraud. Plaintiff further contends the Complaint alleges SkyHealth assisted Pengqiang in concealing assets derived from Plaintiff's funds by receiving, holding, transferring, concealing, or shielding assets derived from Plaintiff's funds. Plaintiff also contends the Code of Civil Procedure section 425.115 statement should not be stricken because that section authorizes a plaintiff seeking punitive damages to serve a statement giving notice of the amount of punitive damages sought before default may be taken.

The Court finds the Complaint fails to allege sufficient facts to support a claim for punitive damages against SkyHealth. As noted above, the Court sustained SkyHealth's Demurrer to most of Plaintiff's claims against SkyHealth. Although the Court overruled SkyHealth's Demurrer to the Twelfth and Thirteenth Causes of Action, the Court does not find that the Complaint alleges sufficient facts demonstrating that SkyHealth acted with malice, fraud, or oppression toward Plaintiff. (See Civ. Code, § 3294; Turman v. Turning Point of Central California, Inc., supra, 191 Cal.App.4th at p. 64.) Rather, the Complaint simply alleged sufficient facts demonstrating that Pengqiang transferred some of Plaintiff's funds to SkyHealth for purposes of defrauding Plaintiff. The Complaint's allegations against SkyHealth are otherwise conclusory and devoid of facts showing SkyHealth knew the funds were stolen or otherwise acted with intent to harm Plaintiff or in disregard of Plaintiff's rights. (See Compl., ¶¶ 8-39.)

Moreover, although not mentioned in SkyHealth's moving papers, complaints may not allege specific monetary amounts for punitive damage claims. (Civ. Code, § 3295, subd. (e).) The Complaint violates this prohibition. (Compl., p. 26, ll. 21-23.) Code of Civil Procedure section 425.115 applies to a statement of damages, not a complaint. (See Code Civ. Proc., §§ 425.11, subd. (e), 425.115.)

Accordingly, the Court GRANTS the motion to strike Plaintiff's punitive damages allegations located at paragraphs 59, 110, 117, 147, 159, and Prayer for Relief, paragraph 5, as to SkyHealth with leave to amend. The Court GRANTS the motion to strike the Complaint's statement under Code of Civil Procedure section 425.115 as to SkyHealth without leave to amend.

Treble Damages and Attorney Fees Under Penal Code § 496, subdivision (c)

“Any person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney’s fees.” (Penal Code, § 496, subd. (c).)

SkyHealth contends the requests for treble damages and attorney fees under Penal Code section 496, subdivision (c), should also be stricken because the Complaint fails to state sufficient facts to state a cause of action for civil theft against SkyHealth. SkyHealth contends the Complaint does not identify any specific property that SkyHealth received, concealed, or withheld, nor does it allege facts supporting SkyHealth’s actual knowledge that any property was stolen.

In opposition, Plaintiff contends the requests for treble damages and attorney fees under Penal Code section 496, subdivision (c), should not be stricken because they are statutory remedies for the adequately pleaded civil theft claim.

Given that the Court sustained SkyHealth’s Demurrer to Plaintiff’s Penal Code section 496, subdivision (c) claim, there is no other basis for Plaintiff to request treble damages and attorney fees. (See Penal Code, § 496, subd. (c); see also Code Civ. Proc., § 1033.5, subd. (a)(10) [attorney fees recoverable only if authorized by contract, law, or statute].)

Based on the foregoing, the Court GRANTS the Motion to Strike as to Plaintiff’s request for treble damages and attorney fees located at paragraphs 3 and 8 of the Prayer for Relief as to SkyHealth with leave to amend.

CONCLUSION

The Court SUSTAINS the Demurrer of Defendant SkyHealth Medical Group USA Inc. to the Second and Ninth Causes of Action with 20 days’ leave to amend. The Court SUSTAINS the Demurrer of Defendant SkyHealth Medical Group USA Inc. to the Sixth Cause of Action with 20 days’ leave to amend. The Court SUSTAINS the Demurrer of Defendant SkyHealth Medical Group USA Inc. to the Fifteenth Cause of Action without leave to amend. The Court SUSTAINS the Demurrer of Defendant SkyHealth Medical Group USA Inc. to the Tenth Cause of Action without leave to amend as a separate cause of action, but with leave to amend into the other substantive causes of action, where appropriate.

The Court OVERRULES the Demurrer of Defendant SkyHealth Medical Group USA Inc. to the Twelfth and Thirteenth Causes of Action.

The Court GRANTS the Motion to Strike of the Defendant SkyHealth Medical Group USA Inc.. The Court hereby STRIKES the following portions of the Complaint as to Defendant SkyHealth Medical Group USA Inc. with 20 days’ leave to amend:

1. Paragraphs 59, 110, 117, 147, and 159; and
2. Paragraphs 3, 5, and 8 of the Prayer for Relief.

The Court STRIKES the Complaint’s statement under Code of Civil Procedure section 425.115 as to Defendant SkyHealth Medical Group USA Inc. located on page 26, lines 21 through 23, without leave to amend.

Defendant SkyHealth Medical Group USA Inc. is ordered to give notice of the Court’s ruling within five calendar days of this order.

[1] The Court refers to Pengqiang by first name only to avoid confusion. No disrespect is intended.